# ANNUAL REPORT OF THE CHINESE INSURANCE MARKET 2015

# 2015 中国保险市场年报

# The State Council Released Opinions on Accelerating the Development of Modern Insurance Service Industry

## Insurance Makes Life Better

As an important industry in modern economy and a primary means of risk management, insurance is a symbol of the development of a society's civilization, economy and social governance capability.

Efforts shall be made to strive to reform and innovate, further open up, strengthen the market, improve the market environment so as to develop a more competitive, innovative and vigorous modern insurance service industry, and make insurance a pillar in a sound financial system, a key protection for better livelihood, a new means of efficient social management, an engine for the improvement of economic quality and economic growth, and a boost for the transformation of government functions.

By 2020, a modern insurance service industry is to be in place to provide comprehensive protection and exert functions needed in economic development and social progress. China, at that time, will have not only a big insurance industry but also a strong one. China's insurance penetration will be 5%, and density will be RMB 3500 Yuan. Insurance will be an effective stabilizer of the society and a booster of the economy.

Photos by staff of the insurance industry

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# Message from the Chairman of the CIRC

2014 has been a historic year for the insurance industry. In August, the State Council publicized *Several Opinions on Accelerating the Development of Modern Insurance Service Industry,* putting forward a blueprint for insurance reform, development and regulation in the new situation for the strategic goal of building a world-class insurance industry. Two months later, the State Council issued *Several Opinions on Accelerating the Development of Commercial Health Insurance,* unprecedentedly defining the important role of commercial health insurance in deepening medical and health system reform, developing health service industry and economic upgrading. These two groundbreaking, leaf-turning documents were milestones in the history of the Chinese insurance industry.

During the past year, under the guidance of the CPC Central Committee and the State Council, the insurance industry has made a historic stride forward and is now embracing a future of new development, seeing steady progress in service, regulation, risk control and growth.

## Fast Growth of Insurance Business

Despite the economic downturn last year when target GDP growth rate was lowered, painful structural adjustment was going on and the previous stimulus policies had almost been digested, the insurance industry entered the fast track of development through deepening reform and streamlining administration. In terms of business growth, the year 2014 saw national premium income hitting RMB 2 trillion Yuan① for the first time, up by 17.5%, which is record high since the outbreak of the international financial crisis. Non-life premium income was RMB 720.35 billion Yuan, up by 16% YoY. Life premium income registered RMB 1.3 trillion Yuan, up by 18.4% YoY. The business mix of the whole industry has been further adjusted, witnessing high growth in products that support the real economy, improve people's well-being and offer protection. To be more specific, we saw 66.1% growth of guarantee insurance, 77.2% growth of annuity insurance and 41.9% of health insurance. The year 2014 was also the most profitable year for the insurance industry. The total profit for insurance companies is RMB 193.42 billion Yuan, up by 91.4% YoY. Insurance asset management yields are RMB 535.88 billion Yuan, up by 46.5% YoY, a record high. Insurance investment return rate is 6.3%, 1.3 percentage points higher than that of 2013 and the highest in the past 5 years.

① If not otherwise footnoted, all the data in this annual report are based on *Enterprise Accounting Criteria Interpretation No.2.*

## Reform and Innovation Continued to Deepen

We believe that comprehensive, deeper reform is the solution for the insurance industry in the adverse situation. We implemented a lot of reforms in the past year. Pricing reform was pressed ahead to give the market the decisive role in resource allocation. The market-based reform plans for pricing of universal insurance and auto insurance have been submitted to the State Council for approval. Market entrance and exit mechanism was further improved. We encouraged innovative players such as insurance captives, mutuals and internet insurers to enter the market. Insurance asset management reform went deeper, diversifying asset allocation and bringing risks under control. Catastrophe insurance made progress. We worked out a plan for the catastrophe insurance mechanism, developed products, established a pool, carried out pilot projects and will deliver groundbreaking outcomes that the public has been looking forward to.

## A Bigger Role in Serving Economic Development and Social Progress

To serve economic development and social progress is a mission of the insurance industry. In 2014, we witnessed a greater role of the insurance industry in this area by complementing social security system, participating in social management, providing protection for agriculture, the rural areas and the rural population. The total insured amount in 2014 was RMB 1114 trillion Yuan, 25.5% more than that of 2013. The insurance industry paid RMB 719.44 billion Yuan in compensation and payout, 15.9% more than in 2013. 392 programs of the major illness insurance were launched in 27 provinces to cover 700 million people. Insurers managed medical protection programs covering 320 million people. Agriculture insurance registered premium income of RMB 32.58 billion Yuan (+ 6.3% YoY) and insured amount of RMB 1.6 trillion Yuan (+17.7% YoY). RMB 1.1 trillion Yuan of insurance fund was invested in infrastructure project, up 56.8% from the beginning of the year, among which RMB 107.25 billion Yuan was invested in shantytowns transformation and protection house construction. Export credit insurance achieved premium income of USD 2.7 billion (+8.2% YoY), with the insured amount totaling USD 380.45 billion, contributing significantly to stabilizing export transaction.

## Strengthened Risk Control

In the complex situation of 2014, we carried out a series of inspections based on risk assessment results of the key areas. The purpose of these inspections was to strengthen internal control and external supervision, to contain irregularities and illegal practices. By doing so, we saw no regional or systemic risks outbreaks in 2014. These inspections included on-site corporate governance inspection, theme inspection on agricultural insurance, compliance inspection on major illness insurance and a mop-up campaign in insurance intermediaries market. Insurance anti-money laundering mechanism was also established. Anti-fraud and anti-illegal fund raising campaigns were carried out. We paid great attention to risks concerning concentrated maturity payouts, policy surrenders, inadequate solvency, liquidity and asset management. The insurance industry in general was strong in terms of solvency, with RMB 720.7 billion Yuan of solvency surplus. Only 1 insurer did not meet solvency requirements.

## Consumer Protection Stepped up

We paid great attention to insurance consumers' biggest concerns. In 2014, we continued to improve claims settlement of auto insurance and punished life insurance misleading selling practices. 7.35 million pending non-life claims were settled. Enforcement was tightened to ensure the authenticity of customer information. Insurers were asked to supervise their agents more stringently. Under the guidance of CIRC, the Insurance Association of China conducted a satisfaction survey on the services of life insurers to call their attention to providing better services. Insurance disputes were handled carefully. The 12378 hotline for complaints received 245,000 calls. 98.5% of those who called expressed satisfaction with the way their complaints were handled. CIRC processed 28,000 complaints in 2014. On top of this, we issued *CIRC's Guiding Opinions on Strengthening Insurance Consumer Protection* and drafted *China Insurance Credit System Construction Plan (2015-2020)*. We also

established 6 channels for consumer education, namely, on our official website, in newspaper columns, pamphlets, official micro-blog and official we-chat and in promotion activities.

## Regulatory Modernization Going forward Steadily

2014 has been a year of regulatory modernization for CIRC. We did that by taking in the international regulatory reform experience and integrating it with our own realities. The amendments to the *Insurance Law* have been drafted. 4 administrative rules and measures have been revised or issued. 4,798 normative documents have been abolished, cutting down the total number of these documents by almost 80%. China Risk Oriented Solvency System (C-ROSS), a risk-oriented and internationally comparable solvency system that reflects the features of the Chinese insurance market has been completed, including its 17 rules. We engaged more actively in international interaction and cooperation, for example, in the designing and field test of IAIS ComFrame, ICS and in the selection of GSIIs. We worked with the regulators of Hong Kong and Macau in anti-fraud activities and formed a long-term mechanism among the mainland, Chinese Taipei, Hong Kong and Macau to combat fraud.

When we look back on the year 2014, we see that we have cracked some hard nuts and made a series of historic breakthroughs though reform and innovation. We see a stronger insurance industry with a better public image and higher social status, and a bigger voice in international standard setting activities. We find that the insurance industry has become an important player in governance of the country and in the drive for governance modernization. We see that China now has a significant role in the global insurance paradigm. We have achieved these under the leadership of the CPC Central Committee and the State Council, with the support of our brother ministries and local governments, and because all the insurance professionals have worked hard. On behalf of the Party Committee of CIRC, I would like to thank all the people who have contributed or supported our reform and development cause.

The year 2015 will be the last year to complete the *twelfth five-year plan*. It is a critical year for comprehensively deepening reform as well as a beginning year for rule by law and stricter party discipline. The economy bears significance in this year. We must fully implement the spirit of the 18$^{th}$ National Congress of the CPC, and the 3$^{rd}$ and 4$^{th}$ Plenums of the 18$^{th}$ Central Committee of the CPC to advance our work while maintaining stability and to enhance economic development quality and efficiency. In the economic "new normal", we must drive innovation, perfect risk control and keep the growth of the insurance industry reasonably fast. This requires further progress in industry and in regulation. We must bring our work to a higher level so as to make greater contribution to the economic development and social progress of China.

Xiang Junbo
Chairman of the China Insurance Regulatory Commission
June 22, 2015

# 02

# Social Progress and Economic Development

- Steady Growth of Economy-Foundation for the Development of the Insurance Industry
- Public Welfare Improving Continuously, Providing the Insurance Industry with Broader Room for Development
- The Financial System Ran Steadily with Further Improved Capacities in Serving the Economy and Society

2014 has been a challenging year of complexities and difficulties. The global economy was struggling to recover with divergent situations in major economies. At home, the domestic economy faced increasing downside pressure. The Chinese people, under the strong leadership of the CPC Central Committee, addressed the challenges and continued to forge ahead, fulfilling the anticipated full-year goal of the economic and social development of 2014 and making a firm step towards the goal of building a well-off society. The drive for comprehensively deepening reform achieved a good start, rule by law is well on the way and the party discipline has been strengthened.

## Steady Growth of Economy-Foundation for the Development of the Insurance Industry

In 2014, the Chinese government led and united all nationalities of this country to understand the "new normal", meet its challenges and try to lead the "new normal" through reform and innovation. Through hard work, the national economy grew steadily with an upgraded economic structure, higher quality of growth and better well-being of the Chinese people.

### Stable Growth of the Economy

The year 2014 witnessed stable growth of the economy, which was in a reasonable range. The Chinese economy became more coordinated and sustainable. China's GDP totaled RMB 63.6 trillion Yuan, up by 7.4% YoY. The full year fiscal revenue amounted to RMB 14 trillion Yuan (+8.6% YoY), including RMB 11.9 trillion Yuan of tax revenue (+7.8% YoY). The state foreign exchange reserve reached USD 3.8 trillion, up by USD 21.7 billion from the end of 2013.

### Reform and Opening up Going Deeper

In 2014, China saw further deepening of reform. Market vitality was stimulated, effectively offsetting the downside pressure. Key reforms made big progress. Plans for budget management reform and taxation system reform have been set. The floating range for deposit interest rate and exchange rate was expanded. Pilot projects for private banks advanced. The pricing reform concerning energy, transportation, environmental protection and telecommunications has been accelerated. The government continued role-shifting and administrative streamlining. The departments and ministries under the State Council cancelled or delegated to local levels 246 administrative approval items; cancelled 29 competitions and rewards; cancelled 149 professional qualification or recognition requirements; and cut down the investment project catalogue subject to government approval. Business registration system was reformed and 12.93 million market entities were newly registered. The China Pilot Free Trade Zone was expanded from Shanghai to Guangdong, Tianjin and Fujian. The FDI that China received last year totaled USD 119.6 billion. The outbound investment was USD 102.9 billion. China launched free trade zone projects with Iceland and Switzerland. The free trade negotiations with Korea and Australia have basically been completed. International cooperation in railway, electric power, oil and gas and telecommunications achieved important outcomes.

### Structural Adjustment Stepped up

In 2014, when problems with the economic structure became prominent, the Chinese government conducted a differentiated industry policy to optimize the industrial structure and foster new growth engines such as the service sector. More specifically, rising strategic industries such as mobile internet, integrated circuit, high-end equipment manufacturing and new energy automobiles were encouraged. Internet finance became the most eye-catching new industry. E-commerce, logistics and express delivery grew fast. Cultural and creative industry boomed. Meanwhile, 15 key industries

with excessive production capacity including steel, iron, and cement abandoned inefficient and environmental costly production capacity, exceeding the target of 2014. In order to clean up the air, old cars and cars with yellow license plates, which indicate higher pollution, were disposed. The number of those cars disposed exceeded the annual target. The strategy of innovation driven development was adopted, efforts were made to streamline the process of commercializing the research findings, and the scope of the pilot Zhongguancun Science Park was expanded. Breakthroughs were made in major scientific projects such as supercomputing, lunar exploration and satellite application. The test flight for regional jets designed and manufactured by China was successful.

### Agriculture as Foundation of Economy was Consolidated

Supportive policies for agriculture and farmers were stepped up in 2014 to consolidate the foundation of economy. Agricultural production has kept growing for 11 consecutive years. Farmers' income also has grown fast for 5 consecutive years. The annual grain output grew by 0.9%, or 5.16 million tons, to 607.1 million tons. Agricultural production capacity was enhanced steadily. Modern technology and machinery became more widely used. Major irrigation projects accelerated. Water efficient irrigation was provided to 2.23 million hectares of farmland. 230,000 kilometers of rural roads were built or renovated. A new round of returning farmland to forest and grassland was launched. Confirmation and certifying of land rights progressed smoothly. New types of agricultural operation entities grew fast.

## Public Welfare Improving Continuously, Providing the Insurance Industry with Broader Room for Development

The Chinese government was dedicated to improving people's welfare in 2014, which expanded the room for development of the insurance industry.

### Continuous Improvement of Living Standards

In 2014, urban and rural household income kept rising. The disposable income per capita grew by 8% in real terms. The urban citizens' disposable income per person amounted to RMB 28,844 Yuan, up by 6.8% in real terms. The rural population's disposable income per person was RMB 10,489 Yuan, which grew by 9.2% in real terms. Household consumption continued to grow. Total retail sales of consumer goods amounted to RMB 26 trillion Yuan, up by 10.9% in real terms, among which the retail sales in urban market grew 11.8% and that in rural market grew 12.9%. The sales volume of telecommunications equipment grew by 32.7%. Jewelry consumption was about the same with that of 2013. Furniture and cosmetics grew by more than 10%. Car sales went up by 7.7%. There were 83.07 million cars owned by civilians, 16.6% more YoY. Rural population in poverty decreased by 12.32 million. The government helped more than 66 million people in the rural areas to get hygiene water. Outbound tourists exceeded 100 million.

### Strengthened Efforts in Protecting and Improving People's Livelihood

In 2014, China's employment continued to grow, with 13.22 million new jobs created in urban areas. As of the end of year, the registered unemployment rate in urban area was 4.09%. 7.4 million protection housing units commenced construction and 5.11 million units were completed. Education, science and technology, and culture undertakings continued to develop, with 621,000 graduate students and 7,214,000 college students enrolling at higher education institutions. The expenditure on research and development grew by 12.4% to RMB 1.3312 trillion Yuan. In the "people first" line of thinking, the government continued to increase the input in social welfare to provide basic protection to the people through different mechanisms. More than 70% of fiscal money was spent in areas concerning people's well-being.

### Progress in the Construction of Social Security System

The social security level continued to increase. By the end of 2014, the number of urban employees covered by basic pension insurance and the number of urban and rural residents covered by basic pension insurance increased by 18.97 million and 3.57 million respectively. The number of people covered by basic medical insurance, unemployment insurance, work-related injury insurance and maternity insurance increased by 27.02 million, 6.26 million,7.03 million and 6.43 million respectively. The "integration" of the new rural cooperative medical system and the urban resident basic medical system was launched. The basic pension benefit for enterprise retiree was 10% up. 13,109,000 urban residents received subsidy for medical insurance and 41,189,000 rural residents received subsidy for the new rural cooperative medical system. Temporary assistance system was built nationwide with the minimum standard raised by 9.97% and 14.1% for urban and rural residents respectively.

## The Financial System Ran Steadily with Further Improved Capacities in Serving the Economy and Society

In 2014, China's financial markets continued healthy development, with policies on reform and development being steadily implemented. Financial markets played a bigger role in lowering funding cost and boosting real economy.

### Prudent Monetary Policy and Comprehensive Deepening Reform and Opening up Financial Industry

In 2014, the People's Bank of China (PBC) continued to implement prudent monetary policy and expand its toolkit. It maintained an appropriate money supply and guided financial institutions to use its old funds and new funds more efficiently. Financial institutions were encouraged to support key sectors and important projects like agriculture, farmers and rural areas, small and microbusinesses, shanty towns renovation and railway construction by expanding their funding channels. M2 supply grew by 12.2% YoY. New RMB loans totaled RMB 9.78 trillionYuan, 890 billion higher than 2013. Social financing scale grew close to RMB 16.5 trillion Yuan. In terms of financial reform, key areas reform advanced to give the market a decisive role in resource allocation. Market-oriented reform of interest rate and exchange rate were further advanced. RMB was used more frequently in overseas transactions. Convertibility of capital account saw new progress. Substantial work has been done to establish deposit insurance.

### The Banking Industry Ran Steadily

In 2014, operation and risk indicators of China's commercial banks improved, with steady growth of the balance sheet and overall stable capital adequate ratio. As of the end of 2014, the total asset of China's banking industry was RMB 172.3 trillion Yuan (+13.87% YoY). The commercial banks realized net profit of RMB 1.55 trillion Yuan (+9.65% YoY). The average rate of return on assets was 1.23%. The weighted average capital adequacy ratio of commercial banks was 13.18%, up by 0.99 percentage point compared with the beginning of 2014. The balance of non-performing loans increased by RMB 250.6 billion Yuan to RMB 842.6 billion Yuan. The non-performing loan ratio was 1.25%, up by 0.25 percentage point YoY.

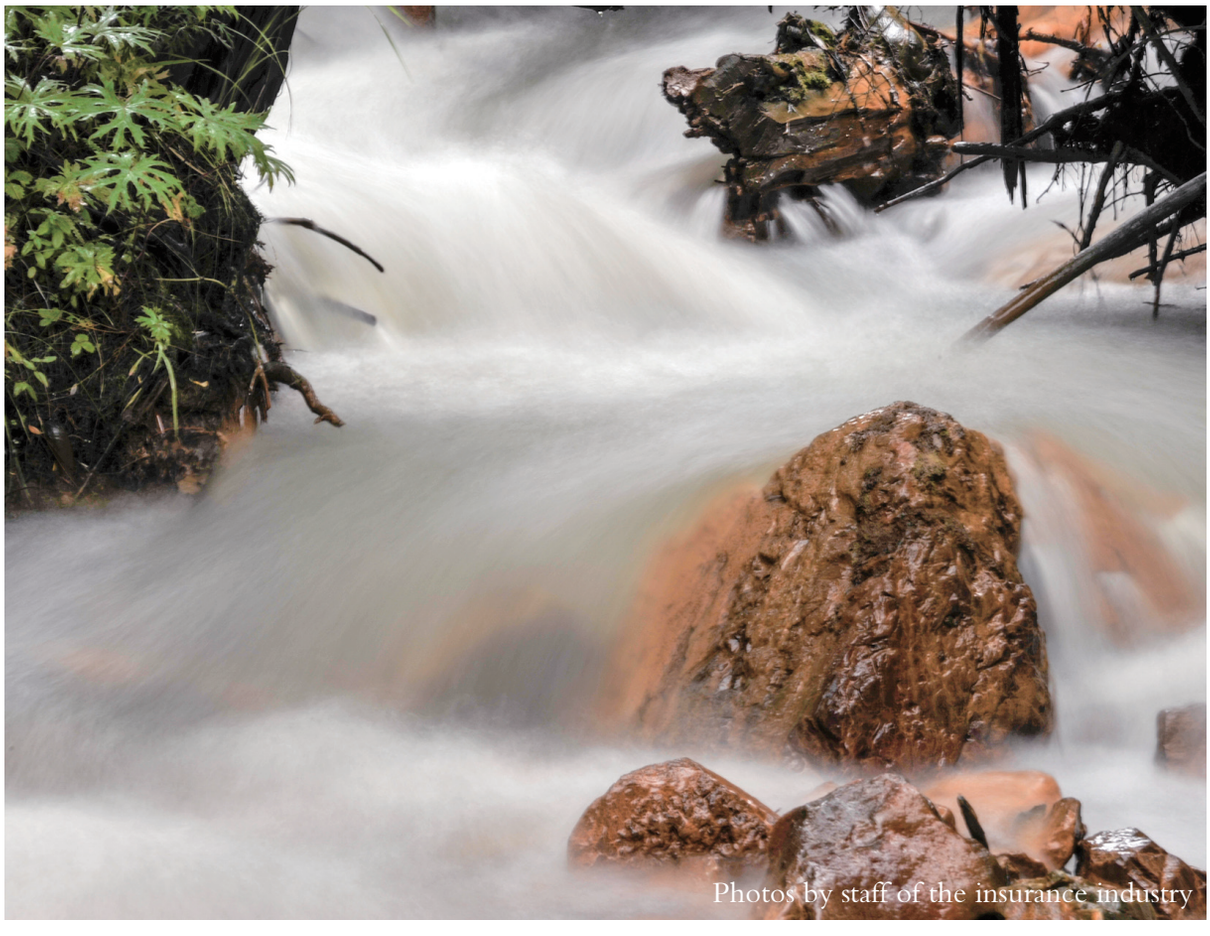
### Capital Market Developed Steadily and the Multi-layered Market System Made Groundbreaking Progress

China's capital market maintained the momentum of steady operation in 2014. Market-oriented reform of the infrastructure went deeper. M&A and delisting mechanisms were perfected. The pilot project to

allow cross market stock investment by mainland and Hong Kong investors was officially launched. In 2014, the number of listed companies in the New Third Board exceeded 1500. A multi-layered capital market was taking shape. Listed companies raised RMB 839.7 billion Yuan from domestic markets, RMB 151.2 billion Yuan more than that of 2013. At the end of 2014, Shanghai Composite Index and Shenzhen Composite Index closed at 3,234 points and 1,415 points, up by 52.8% and 33.7% respectively. The index of growth enterprise market closed at 1,471 points with a rise of 12.8% YoY.

## Insurance Market Realized Strong Growth with Further Improved Overall Capacity

In 2014, China's insurance industry grew fast, demonstrating vigor and vitality. The pricing reform went on smoothly, expecting universal insurance pricing reform and auto insurance pricing reform plans to come out very soon. Reform of market entry/exit mechanism deepened. Insurance asset allocation became more diversified. Progress has been made in the construction of catastrophe insurance system. China Risk Oriented Solvency System (C-ROSS) has taken shape. Protection of the interst of insurance cosumers gained new progress. The insurance industry's solvency surplus totaled RMB 720.7 billion Yuan. Only 1 insurer had inadequate solvency. Insurance premium income nationwide hit RMB 2 trillion Yuan (+17.5% YoY). Insurance total asset was more than RMB 10 trillion Yuan, 22.3% higher than the beginning of 2014.



Photos by staff of the insurance industry

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# 03

# Insurance Industry's Contribution to Economic and Social Development

- Enhancing Medical Insurance Protection for the Public
- Insurance Industry Supported the Multi-layered Old Age Security System
- Innovative Social Management
- Participation in Disaster Prevention and Assistance System
- Agriculture Insurance Played a Bigger Role
- The Insurance Industry Facilitating Economic Transformation
- An Industry with a Strong Sense of Social Responsibility

# Enhancing Medical Insurance Protection for the Public

## Major Illness Insurance for Urban and Rural Residents

2014 saw progress in major illness insurance for urban and rural residents as a part of the national medical insurance system. As of the end of 2014, major illness insurance was conducted in all provinces except Tibet. 16 insurers provide major illness insurance to 700 million people, or 70% of the population the product is designed to cover, in the 2,128 counties/districts of the 265 cities of 27 provinces. This includes the Xinjiang Production and Construction Corps. Premium income of major illness insurance yielded RMB 15.44 billion Yuan and 1.97 million claims were settled. The current biggest case is more than RMB 800,000 Yuan. The average payout per case was RMB 5,600 Yuan. The reimbursement proportion was about 70%, 10 to 15 percentage points higher than the basic medical insurance. The total payout of RMB 11.1 billion Yuan helped the sick so that they don't get into poverty because of medical bills.

## Developing Commercial Health Insurance

Insurers can provide the public with better health risk protection through their commercial health insurance products to meet the needs that cannot be satisfied by basic medical insurance. More than 100 insurers conducted commercial health insurance in 2014, selling more than 2,300 products of illness insurance, medical expense insurance, long-term care insurance and disability income loss insurance. Commercial health insurance premium income totaled RMB 158.63 billion Yuan, up by 41.9% YoY. Claims payout was RMB 57.24 billion Yuan. Experiments were conducted to link health insurance with health management so as to expand insurance service from expense reimbursement and compensation to comprehensive health management for illness prevention, treatment and care. In this way, people's health was improved.

## Managing Basic Medical Protection Plans

As an industry with a strong sense of social responsibility, the insurance industry accepted the entrustment of the government to participate in the management of basic medical insurance plans such as the new rural medical cooperative and basic medical insurance for urban and rural residents. By using its advantages in actuarial technology, professional service, and risk management, the insurance industry lowered the cost of such plans, controlled medical expenses, relieved the fiscal burden of the government, and improved the service quality and efficiency of basic medical insurance. As of the end of 2014, 320 million people received service from insurers in the basic medical insurance plans. The plans' funds entrusted with insurers increased by RMB 18.92 billion Yuan. 36.12 million cases amounting to RMB 13.52 billion Yuan were settled. Insurers also provided supplementary medical insurance for urban and rural residents, supplementary group medical insurance for businesses and organizations as well as medical assistance services, the premium income of which was RMB 14.53 billion Yuan and the reimbursement was RMB 14.45 billion Yuan.

### Column 1 State Council Issued *Several Opinions on Accelerating the Development of Commercial Health Insurance*

On Nov. 17, 2014, the State Council issued *Several Opinions on Accelerating the Development of Commercial Health Insurance,* a landmark document symbolizing a strategic, innovative, market-based and groundbreaking solution to the issue of public medical insurance protection in the "new normal".

This document set out the guiding philosophy, goals and basic principles as well as supportive policies for the development of commercial health insurance for a long time to come. It required stronger leadership, better coordination among relevant ministries and departments and a supportive environment. It will have a far-reaching impact on the improvement of China's medical protection system, deepening of medical reform and the development of the health industry.

### The Whole Guangdong Province Having Access to Major Illness Insurance

As of the end of 2014, major illness insurance was accessible in every place of Guangdong Province. Such insurance was organized and managed at municipal level to cover both urban residents and rural population. In 18 cities of Guangdong province, major illness insurance was underwritten by commercial insurers, covering more than 110 counties/districts, protecting more than 60 million people. The effective link between the government and the market raised the reimbursement proportion by 14.3%. In this mechanism, people got more than half of their medical expenses covered.

### Sunshine Insurance Got Approval for the First Insurer-invested Hospital

In May, 2014, Sunshine Insurance Group got approval to set up a hospital, which was the first joint-stock hospital in China invested by an insurer in cooperation with large state-owned hospitals and medical education institutions. The RMB 2.5 billion Yuan project covers 900,000 square meters. The 280,000 square meters of out-patient and in-patient buildings have been constructed. The hospital now has 2000 beds.

## Insurance Industry Supported the Multi-layered Old-age Security System

In 2014, following the instructions of the State Council, CIRC achieved a lot in encouraging insurance industry to support the multi-layered old-age security system by making use of its expertise and management skills.

### Pilot Projects to Participate in Basic Pension

Insurers were active participants in the management of basic pension. As of the end of 2014, insurers provided management services for the new rural medical cooperatives in Yixing of Jiangsu province; Jingyang District of Deyang, Sichuan province; Qujiang District of Quzhou, Zhejiang province; Chuzhou and Lianyungang of Jiangsu province, Shifang and Mianzhu of Sichuan province, covering about 1.32 million people.

The participation of insurers in the management of basic pension is a new way of operation that combines the leading role of the government and the operation role of the market to provide professional service to the public. It is an innovative and more efficient way of public service provision because the participation of insurers not only reduced the government's pressure of limited staff and administrative cost, but also introduced information-based management and professional risk control into the basic pension system.

*2014 China Residents Retirement Preparedness Index* released by Aegon-CNOOC and Qinghua University on June 25, 2014

**Column 2 House for Pension Pilot Project Launched**

In June, 2014, CIRC issued *Guidance on Pilot Projects of House for Pension*, deciding to launch the project in Beijing, Shanghai, Guangzhou and Wuhan as of July 1, 2014.

House for pension project is an innovative commercial pension product that combines mortgage with life annuity. The retirees with full ownership of their houses can mortgage their houses with insurers to get annuity till they pass away. During their retirement life, they maintain their rights to live in and use the houses, to receive earnings and to dispose the houses if the mortgagee agrees. When the retirees pass away, the insurers get the right to sell the house for the annuity payouts. By transferring homes into a source of pension, this product provides new opportunities for the insurance industry to play a role in old age security system.

**New Risk Sharing Mechanism for Old Age Security in Suzhou**

In 2014, explorations were carried out in Suzhou to establish a new risk sharing mechanism for old age security. The government there purchased nursing institution comprehensive liability insurance, home nurturing organization liability insurance and accident and injury insurance for the seniors, providing accident and injury protection amounting to RMB 10.6 billion Yuan to 625,000 seniors and risk protection totaling RMB 3.4 billion Yuan for 41,000 beds in 95 streets of Suzhou.

### Management for Enterprise Annuities

Insurers were also trustees, account managers and investment managers for enterprise annuities, providing service throughout the establishment, operation and payout of these annuities by using their expertise in designing products and their experience with customers and prudent investment. As of the end of 2014, insurers were trustees of 43,000 businesses, covering 8.77 million people and assets amounting to RMB 317.42 billion Yuan. The percentage of enterprise annuity assets entrusted with insurers is 68.8% of all those assets entrusted with legal entities. Insurers managed 9,845 enterprise accounts and 2.52 million individual accounts. They also invested RMB 375.37 billion Yuan for the enterprise annuities, or about 50.7% of all those assets.

### Commercial Annuity Promoted

Commercial insurance offers a variety of pension products and services and can be a very good supplement to social old age security. Currently, 69 insurers in China conduct commercial annuity business through a variety of products. Recently, annuity insurance has been growing fast with average annual growth rate of 16.9% between 2001 and 2014. In 2014, annuity insurance income registered RMB 282.2 billion Yuan (+77.2% YoY). There were 69.433 million in-force policies covering 100 million people, providing protection amounting to RMB 1.4 trillion Yuan.

## Innovative Social Management

In 2014, liability insurance participated in innovative social management as an effective way to diversify social risks, mitigate conflicts, reduce government pressure and maintain social stability. For the whole year, liability insurance premium income was RMB 25.34 billion Yuan and the insured amount registered RMB 66.5 trillion Yuan.

## Stepping up Medical Liability Insurance for Better Medical Dispute Settlement

Medical liability insurance is an important part of medical dispute prevention and settlement mechanism. It works together with dispute settlement channels to reduce conflict between the hospital and the patients' family over medical accidents so that the hospital can function normally. In 2014, CIRC, together with National Health and Family Planning Commission, Ministry of Finance and other 3 ministries issued *Opinions on Stepping up Medical Liability Insurance.* Together with National Health and Family Planning Commission, CIRC conducted a national inspection on the dispute settlement of hospitals.

### Medical Liability Insurance Promoted in Tianjin

In 2014, CIRC Tianjin Bureau actively promoted the development of medical liability insurance as part of the national governance system and governance modernization efforts. *Regulation on Medical Dispute Settlement in Tianjin* was released, according to which, public hospitals above level II must purchase medical liability insurance. As of the end of 2014, the insurance industry provided to 81 hospitals with protection of RMB 590 million Yuan, settled 3,868 claims with payment of RMB 210 million Yuan. 87.5% of medical disputes were successfully settled.

## Product Safety Liability Insurance Promoted for Safer Products

CIRC encouraged the development of product safety liability insurance as a part of market-oriented product safety accident assistance and accountability system. In 2014, CIRC in conjunction with National Administration of Quality Supervision, Inspection and Quarantine, issued *Notice on Conducting Product Safety Liability Insurance* to encourage the implementation of this insurance for special equipment and popular consumption goods. It protects the rights of the people, helps to maintain social harmony and safety as well as improves businesses' risk management.

## Food Safety Liability Insurance Encouraged for Safer Foods and Drugs

In 2014, CIRC in conjunction with Food Safety Office of the State Council and China Food and Drug Administration issued *Guiding Opinions on Conducting Food Safety Liability Insurance,* taking the implementation of pilot project on this insurance into local governments'performance assessment system and including the participation of businesses into their credit record and rating system.

### Hunan Province Carried out Food Safety Liability Insurance Pilot Project

In 2014, Hunan province promoted a pilot project of food safety liability insurance to manufacturers, canteens and catering businesses. 1,371 policies were issued, providing insurance amount of RMB 1.48 billion Yuan to 897 canteens, 417 manufacturers and 57 catering businesses.

## Environmental Pollution Liability Insurance Boosted to Perfect Environmental Protection Mechanism

The year 2014 saw a big step forward for environmental pollution liability insurance as the newly revised *Environmental Protection Law* encourages businesses to buy this product. In conjunction with Ministry of Environmental Protection, CIRC issued *Guiding Opinions on Conducting Compulsory Environmental Pollution Liability Insurance Pilot Projects* in 2014 to launch pilot project of compulsory environment pollution liability insurance for high risk industries such as heavy metals and petrochemical industries. Risk assessment standards have been made for 6 industries such as chemical industry and metallurgy industry as part of the standard system for this insurance. Under the guidance of CIRC, the Insurance Association of China has issued example terms and clauses for this insurance.

# Participation in Disaster Prevention and Assistance System

## The Design of Catastrophe Mechanism has been Completed to Provide Legal Basis for Catastrophe Insurance

In 2014, CIRC, in conjunction with Ministry of Finance, drafted *Work Plan for the Establishment of Catastrophe Insurance to Better Use Insurance for Economic Compensation*. A taskforce was established to work on the design of catastrophe insurance. The taskforce completed *Research Report on the Establishment of Catastrophe Insurance* and *Operation Plan for China's Earthquake Catastrophe Insurance,* which means the top level design of catastrophe insurance in China has been completed.

Based on China's realities and the needs for catastrophe insurance, CIRC picked earthquake insurance to break the ground. It drafted *Earthquake Catastrophe Insurance Rules,* which state clearly that catastrophe insurance will be operated through cooperation between the government and the market. The *Rules* also define the rights and obligations of all parties involved, how catastrophe insurance will be organized, how the key institution will be established and the operation rules and risk control requirements. The *Rules* provide a legal basis for catastrophe insurance in China.

## Pilot Project Carried out for Implementation of Earthquake Insurance

In 2014, CIRC actively advanced earthquake insurance by developing example product, providing necessary infrastructure and improving risk diversification mechanism. A national household earthquake insurance example product was developed, which covers as many urban and rural houses as possible. The protection it provides is basic and insurance amount is different for urban and rural houses. An insurance pool was organized with a work plan and charter in place. Research in the viability of establishing an earthquake catastrophe insurance fund has been carried out. The idea is to collect a certain percentage of earthquake insurance premium or underwriting profit surplus and put that into the fund. The fund will be put under custody before a special management entity is established. The fund will be managed separately to accumulate interest and will be used centrally across the country.

## Pilot Projects Carried Out as a Way of Accumulating Experience for Full Implementation of Catastrophe Insurance

Pilot projects were expanded from Shenzhen to Ningbo. The catastrophe insurance system in Ningbo is composed of three parts, namely, public catastrophe insurance, catastrophe fund and commercial catastrophe insurance, among which public catastrophe insurance covers home damage for the first time. Besides Ningbo, other places such as Yunnan, Shanghai and Guangdong also worked on pilot project plans reflecting local features.

### China Insurance's Rural Home Pilot Project

In 2014, China Insurance implemented a pilot rural home insurance project in 11 districts/counties of Chengdu, the capital of Sichuan province. This project covered 15 risks including earthquake, storm, flood, fire and others. The participation ratio was close to 30% at the end of 2014, providing RMB 27.2 billion Yuan's insurance protection to 450,000 rural households.

**Champion P&C Insurance Establishing Catastrophe Risk Management Research Center with Yunnan University of Finance and Economics**

December of 2014 saw the opening of Catastrophe Risk Management Research Center founded by Champion P&C Insurance and Yunnan University of Finance and Economics. This center is an open research and development platform, a think tank, an innovation incubator to support the business development and talent training for catastrophe insurance.

# Agriculture Insurance Played a Bigger Role

In 2014, agriculture insurance, benefiting from policies supporting agriculture and farmers, kept the momentum of steady and fast development, playing a positive role in ensuring stable agricultural production, enhancing the resilience of farmers against disasters, stabilizing farmers' income and safeguarding national food security.

## Constantly Expanding Coverage

Premium income for agricultural insurance was RMB 32.58 billion Yuan, up by 6.3% YoY. The number of rural households insured totaled 250 million, up by 15.7% YoY. The amount insured exceeded RMB 1.6 trillion Yuan, up by 17.7% YoY. The claims payment totaled RMB 21.46 billion Yuan, up by 2.9% YoY. 32.45 million farmers were benefited from agriculture insurance, up by 2.1% YoY. 47.7% of staple crops area, or 78 million hectares were insured. The participation ratios of the three major grain crops, i.e. corn, rice and wheat, were 68.7%, 69.5% and 49.3% respectively. 144.67 million hectares of forests, or 67.2% of forests in China were insured. 130 million hogs and 3.981 million cows were insured, up by 54.3% and 21.2% respectively.

## Better Compliance

In 2014, CIRC together with Ministry of Finance conducted a comprehensive inspection on agricultural insurance. 11 P&C legal entities were inspected. Through the inspection, fake agricultural underwriting and claims settlement were prevented to make sure that fiscal subsidies were properly used to really benefit the farmers.

## Better Infrastructure

In 2014, CIRC stepped up infrastructure construction for agricultural insurance. It cancelled licensing requirements for agricultural insurance business to increase competition. It issued *Notice on Improving Clauses of Agriculture Insurance Fiscally Subsidized by Central Government* with Ministry of Finance and Ministry of Agriculture to strengthen regulation on clauses and pricing, making premium rates and insurance amount more flexible. National Agriculture Insurance Information Platform was initiated to facilitate China Reinsurance Pool for Agriculture Insurance.

**Column 3　China Reinsurance Pool for Agriculture Insurance**

On November 21, 2014, China Reinsurance Pool for Agriculture Insurance was founded. It was initiated by 23 insurers with agriculture insurance license and China Re. The pool covers all of the agriculture insurance products. Its establishment improved the risk transfer mechanism for agricultural catastrophes by providing a stable channel for risk transfer.

### Better Policy Environment

In 2014, the central government increased fiscal subsidies for agriculture insurance by 20%. CIRC, Ministry of Finance and State Administration of Taxation agreed to extend income tax incentives for agriculture insurance to the end of 2016. The subsidization percentage of hog insurance was raised from 10% to 50%. Cow insurance subsidization was expanded to 4 more provinces. Hog insurance subsidization was expanded to 2 more provinces. Forest insurance subsidization was expanded to another 2 provinces. Target price insurance was carried out on a trial basis in 20 provinces and cities.

**First *Report on Survey of Agriculture Insurance Needs***

On September 10, 2014, the Insurance Society of China released *Report on Survey of Agriculture Insurance Needs.* Based on more than 10,000 samples, the report analyzed the risk profiles of farmers, agricultural economy organizations and local governments in China. It gave advice concerning how to further improve supportive policies for agriculture insurance, how to increase participation and coverage of agriculture insurance and how to optimize relevant service system and provide higher-quality services.

**Vegetable Weather Index Insurance Launched by Anxin**

In 2014, Anxin Agricultural Insurance launched vegetable weather index insurance in its explorations of applying weather index in their products. This new product is based on the index of damages caused by different weather conditions and compensates the insured when triggered. Needing no sophisticated technologies in claims settlement and having simple procedures, this product has low cost of management. The insured know that they are going to get the compensation when they read the weather index released. In this way, there is no more information asymmetry, adverse selection or moral hazard. This product has provided insurance amount of RMB 6.55 billion Yuan to 32 agricultural cooperatives. By compensating farmers for their loss through a timely manner, the farmers' motivation to grow vegetables was protected.

## The Insurance Industry Facilitating Economic Transformation

Under the "new normal", better quality and higher efficiency are the keys to economic development. In 2014, the insurance industry stepped up its efforts to facilitate real economy development and economic transformation and upgrading, implementing the instructions of CPC Central Committee and State Council.

### Insurance Assets Supporting Economic Construction

As of the end of 2014, the insurance industry provided more than RMB 1 trillion Yuan in financing for infrastructure projects such as transportation, energy, railway and irrigation and public welfare projects such as shanty town renovation, protection housing and nursing communities. The insurance industry initiated 378 debt plans, equity plans and asset-backed plans with registered amount totaling RMB 1.06444 trillion Yuan.

The insurance industry expanded its investment from infrastructure debt plans to stock ownership plans, asset-backed plans and equity investment funds. Investment portfolio also expanded from single asset class such as debt or equity to more flexible portfolios such as debt and equity mixed or preferred stock to better meet the diversified needs of financing.

**Column 4 *Guiding Opinions on Insurance Industry Serving New Urbanization***

In March 2014, to implement the spirit of the CPC Central Committee's Working Meeting on Urbanization and the *New Urbanization Plan (2014–2020)* issued by the State Council, CIRC issued *Guiding Opinions on Insurance Industry Serving New Urbanization*. The *Opinions* asks the industry players to develop commercial pension and health insurance, to carry out explorations in asset management, to protect the sustainable development of urban economy, to strengthen risk management for safer cities, to provide better agriculture insurance products and better services so as to support new urbanization.

**PICC Founded the First Government-Financial SOE Equity Fund**

An RMB 12.1 billion Yuan equity fund to develop east, west and north Guangdong was founded by PICC. It is the first cooperation fund between provincial government and financial SOE. The focus of this fund is to finance urbanization projects in Guangdong.

## Credit Guarantee Insurance Encouraged to Support Micro Financing

Working together with Ministry of Industry and Information Technology, Ministry of Commerce, People's Bank of China and CBRC, CIRC drafted guidance on developing credit guarantee insurance to support micro businesses. Credit guarantee insurance can enhance credit rating and increase loans for micro businesses to relieve their financing difficulties. The guidance encourages banks to give favorable loans to micro businesses that have credit insurance and loan guarantee insurance. Insurance companies with a certain size of business in this area can be linked to PBC's credit reporting system for information sharing.

In 2014, based on the experience of a pilot project in Ningbo, more micro loans guarantee insurance projects were promoted nationwide. The government, the banks and the insurers all had their own roles to play in this insurance mechanism. The government provided guidance, the insurers operated the business and the risks were shared. From 2009 to the end of 2014, 48 cities/districts of 21 provinces (including autonomous regions and municipalities directly under the central government) carried out this type of pilot projects. 9 provinces/autonomous regions such as Zhejiang, Guangxi and Yunnan issued relevant guidance. These projects helped 84,000 micro businesses to get loans amounting to RMB 22.9 billion Yuan in 2014.

On Sep. 18, 2014, CIRC and Ningbo Municipal Government co-organized a meeting to disseminate Ningbo's experience of insurance supporting SMEs. Chairman Xiang Junbo, Vice Chairman Chen Wenhui and the government leaders of Ningbo attended the meeting. 4 ministries/departments/commissions including Ministry of Industry and Information Technology and CBRC as well as 12 provincial offices of financial affairs took part in it.

### Short-term Export Credit Insurance Promoted to Help Domestic Businesses to "Go Global"

Short-term export credit insurance can protect export enterprises from default risks and enhance their international competitiveness. In 2013, based on experiences of other countries, CIRC together with Ministry of Finance and Ministry of Commerce started to introduce 4 insurers to conduct short-term export credit insurance on a trial basis. In 2014, the short-term export credit insurance realized a premium income of USD 1.18 billion, offered USD 360.2 billion of amount insured and supported over 53,000 export enterprises to get RMB 212.58 billion Yuan in financing, including 37,000 micro export enterprises to get RMB 25.23 billion Yuan in financing.

## An Industry with a Strong Sense of Social Responsibility

In 2014, in the spirit of "one for all, all for one", the insurance industry proactively fulfilled its social responsibilities through engagement in social charity and public undertakings such as education, environmental protection and disaster assistance.

**Column 5 First *Chinese Insurance Industry Social Responsibilities Whitepaper* Released**

July 8, 2014, witnessed the first *Chinese Insurance Industry Social Responsibilities Whitepaper* released by CIRC. It takes stock of the functions and roles the insurance industry has played in economic transformation, social security, disaster assistance and social management innovation. It also displays the development and achievement in agriculture insurance, catastrophe insurance, liability insurance and major illness insurance in recent years, and fully shows what the insurance industry has contributed to the society.

### China Life Actively Engaged in Charity Activities

In 2014, China Life Charity Fund donated RMB 36 million Yuan. The money was used to help orphans of Wenchuan earthquake, Yushu earthquake and Quzhou mudslide, to sponsor poverty alleviation projects in Yunxi County of Hubei province, Tiandeng County and Longzhou County of Guangxi province. It was also used to help families that had lost their only child, establish kidney dialysis facilities for local clinics in rural areas of Liaoning province, buy ambulances and type-B color ultrasonic equipment for township hospitals in the mountains of Southern Ningxia Autonomous Region as well as fund cancer censure and buy critical disease insurance for women in poor regions.

### Taikang Pension and Guahao.com Launched an Insurance Plan for Doctors

On October 18, 2014, in cooperation with Guahao.com, Taikang Pension launched an insurance plan for doctors called "No More Worries". It provided doctors with accident injury insurance with insured amount of RMB 50,000 Yuan and accident medical insurance with insured amount of RMB 5,000 Yuan. It attracted more than 10,000 doctors. Doctors who registered at Guahao.com can apply for this plan on Guahao.com website or through mobile phone apps.

### Huaxia Insurance Supported Anti-Japanese War Veterans

Huaxia Insurance cofounded Huaxia Charity with China Youth Development Foundation and China Ageing Development Foundation. Huaxia Charity donated more than RMB 2.6 million Yuan to a charity project that supported Anti-Japanese War veterans. Charity workers looked for the veterans, gave them allowances, honorary certificates and medals. They also interviewed and videotaped the veterans giving oral accounts of history.

### Anbang Pension Visited Nursing Homes in Double Ninth Festival

During the Double Ninth Festival, a festival for seniors, Anbang Pension employees worked as volunteers in 10 nursing homes in Beijing and Tianjin. These volunteers brought laptops, blood pressure meters, blood glucose meters and cooking oil for nearly 1,000 seniors in the nursing homes.

### Liberty Mutual's Traffic Safety Project for Children

In 2014, Liberty Mutual sponsored traffic safety education activities for Children in Jinhua, Beijing, Jinan and Guangzhou. This project, since 2012, has organized activities in many cities.

Photos by staff of the insurance industry

Photos by staff of the insurance industry

# 04

# Insurance Regulation

- General Information
- Regulation on Corporate Governance
- Solvency Regulation
- Market Conduct Supervision
- Insurance Legal System Construction
- International Cooperation and Communication
- Human Resources and Information System

# General Information

## Main Responsibilities

1. Formulating policies, strategies and plans regarding the development of the insurance industry, drafting relevant laws and regulations regarding insurance supervision and regulation, and making relevant rules for the insurance industry.

2. Examining and approving the establishment of insurance companies and their branches, insurance groups and insurance holding companies; approving the establishment of insurance asset management companies in conjunction with relevant authorities; examining and approving the establishment of representative offices by overseas insurance institutions within the territory of China; examining and approving the establishment of insurance intermediaries, such as agencies, brokerages, loss-adjusting companies and their branches; examining and approving the establishment of overseas insurance institutions by domestic insurance and non-insurance institutions; examining and approving the merger, split, alteration and dissolution of insurance institutions; deciding whether or not to take over an insurance company or designating an organization to take it over; organizing or participating in the bankruptcy and liquidation process of insurance companies.

3. Examining and confirming the qualifications of senior managerial personnel in all insurance-related institutions; establishing the basic qualification standards for insurance practitioners.

4. Examining and approving the clauses and premium rates of insurance types related to public interests, statutory insurance types and newly developed life insurance types; filing the insurance clauses and premium rates of other insurance types.

5. Supervising the solvency and market conduct of insurance companies in accordance with the law; managing the insurance security fund and monitoring the insurance guarantee deposits; formulating rules and regulations on insurance fund management on the basis of laws and relevant policies of the State, and supervising insurance fund management in accordance with the law.

6. Supervising business operation of policy-oriented insurance and statutory insurance; supervising organizational forms and operations, such as captive insurance and mutual insurance; conducting administration of associations and institutions of the insurance industry, such as the Insurance Association of China and the Insurance Institute of China.

7. Conducting investigations into the following irregularities and imposing penalties according to law: unfair competition and other irregularities by insurance institutions and practitioners, direct engagement or disguised engagement in the insurance business by non-insurance institutions.

8. Supervising overseas insurance institutions established by domestic insurance and non-insurance institutions in accordance with the law.

9. Laying down standards for the information system of the insurance industry; establishing insurance risk assessment, risk warning and risk monitoring systems; following, analyzing, monitoring and predicting the operation of the insurance market; compiling the statistics and report forms of the insurance industry and disclosing them in accordance with relevant regulations of the State.

10. Taking on other duties commissioned by the State Council.

# Organizational Structure of CIRC

**Based on the authorized administrative functions, the 36 branches directly affiliated to CIRC, as well as insurance regulatory sub-branches in Tangshan of Hebei Province, Suzhou of Jiangsu Province, Wenzhou of Zhejiang Province, Yantai of Shandong Province and Shantou of Guangdong Province, regulate the insurance markets within their respective jurisdictions, maintain the steady operation of local insurance markets and promote the sustainable and healthy development of the insurance industry in line with laws, regulations, guidelines and policies.**

### Regulation Objectives

- Protect consumer rights and interests
- Prevent and mitigate market risks
- Promote the sustainable and healthy development of the insurance industry

## Regulation on Corporate Governance

In 2014, CIRC continued to push forward the reform of corporate governance, constantly strengthened and improved relevant regulation, and achieved positive results in mechanism construction, regulatory measures upgrade and group company supervision.

### Constantly Improving Corporate Governance

CIRC promulgated *Measures on Evaluation of Insurance Company Corporate Governance,* to rate insurers according to their corporate governance, link the rating result to the remuneration supervision, branch application and business inspection of the company to make the evaluation more binding, and give a yellow/red card to those with poor corporate governance and no effective improvement. CIRC promulgated *Notice on Further Regulating Affiliated Transaction of Insurance Companies,* to further prevent the actual controller of an insurance company from embezzling the interest of medium and small shareholders and the policy holders through affiliated party transactions by strengthening proportion regulation, internal review and information disclosure. A database of insurance company corporate governance problems was set up as an important reference for corporate governance evaluation and on-site inspection.

### Constantly Improving On-site and Off-site Supervision of Corporate Governance

CIRC continued to carry out corporate regulation inspection and further expanded the scale of inspection target, scope and frequency. According to the inspection result, regulation letters were sent to relevant companies to urge them to make changes. In terms of off-site supervision, CIRC continued to analyze the insurers' annual reports of corporate governance and sent risk warning letters to urge faulty companies to make changes. CIRC also conducted a theme inspection on the articles of incorporation of 88 insurers, and urged rectification within a time limit.

### Comprehensively Monitoring and Preventing Group Operation Risks

CIRC released *Interim Measures on Regulation of Non-insurance Subsidiaries of Insurance Companies,* to implement overall risk monitoring on the non-insurance subsidiaries of insurance companies to prevent cross-company and cross-sector risk transfer. CIRC promoted the regulation of Domestic Systemically Important Insurers (D-SII), to gradually establish a D-SII supervision system that was internationally comparable and reflecting Chinese features. CIRC also released *Guidance on Consolidated Supervision of Insurance Groups* to clarify the responsibility of consolidated supervision. The infrastructure of group supervision was strengthened with improved reporting mechanism and sound filing management to consolidate the foundation of off-site group supervision.

### Column 6 CIRC Released *Interim Measures on Regulation of Non-insurance Subsidiaries of Insurance Companies*

In September 2014, CIRC released *Interim Measures on Regulation of Non-insurance Subsidiaries of Insurance Companies,* to enhance regulation on and improve risk monitor mechanism of non-insurance subsidiaries of insurance companies. The *Measures* mainly regulate five actions that insurance companies make in investing in and managing their non-insurance subsidiaries: the first action is investing in and setting the non-insurance subsidiaries; the second is management of the non-insurance subsidiary; the third is internal transaction with the non-insurance subsidiary; the forth is the outsourcing to the non-insurance subsidiary; the fifth is the risk firewall between the insurance company and the non-insurance subsidiary. The *Measures* set specific rules on the criteria of insurance companies entering non-insurance business, the exit of insurance companies from non-insurance business, and the reporting mechanism.

### Column 7 The Release of *Guidance on Consolidated Supervision of Insurance Groups*

In December 2014, CIRC released *Guidance on Consolidated Supervision of Insurance Groups,* to further enhance insurance group supervision, improve the consolidated supervision of insurance groups, and effectively prevent operational risks of insurance groups. Based on the objective of effective prevention of insurance group risks, while supporting the group operation, group synergy and scale effect, the *Guidance* implemented overall risk monitoring over the insurance group through clarifying group structure, monitoring internal transaction, improving the overall risk management system and risk firewall mechanism, and improving corporate governance and information disclosure mechanism.

### Column 8 Supervision of Global Systemically Important Insurers

In 2014, Ping An was re-selected as one of the global systemically important insurers (G-SII). CIRC established a crisis management team to guide Ping An in working out its risk resolution plans and systemic risk management plans. At the same time, supervision of D-SII also advanced with the supervisory framework and documents being drafted. The goal was to establish an internationally consistent and recognized system that can reflect the features of the Chinese market.

## Solvency Regulation

### Sufficient Solvency as a Whole

By the end of 2014, the overall solvency status of the insurance industry was sufficient, with only one insurance company below the solvency standard, and the other companies above 150%, which laid a solid foundation for the transition period of C-ROSS. The median of the solvency ratio of non-life insurance companies is 360%, up by 7 percentage points YoY; the median of life insurance companies is 285%, up by 21 percentage points YoY.

### Solvency Surplus Increased Significantly

By the end of 2014, the solvency surplus of insurance industry was RMB 720.7 billion Yuan, RMB 165.6 billion Yuan or 30% higher than the beginning of the year. The increase of the solvency surplus was mainly due to the good performance of investment. In 2014, the return of insurance fund investment was RMB 535.88 billion Yuan, up by 46.5% YoY, a record high in the last five years. At the same time, in the fourth quarter of 2014, 17 companies increased their capital by RMB 30.45 billion Yuan.

### Daily On-going Solvency Supervision Stepped Up

In 2014, CIRC further strengthened daily on-going solvency supervision, formulated solvency reporting rules concerning minimum capital of high cash-value products, blue chip stock investment, mutual fund investment and wealth management product investment of the old high-interest policies, in order to control the risks of high cash-value products, the negative spread risks of the high interest policies and insurance fund investment risks. CIRC suspended property investment value reassessment and carried out a review of the investment properties to prevent relevant risks. Efforts were made to improve quarterly solvency analysis and monitoring, and to upgrade the procedure of CIRC solvency regulatory committee to increase efficiency.

### The Capital Increase Mechanism of Insurance Industry was Further Improved

In 2014, CIRC drafted *Administrative Measures on Capital Increase of Insurance Companies (for Consultation)* to set up a well-supervised multi-layered capital increase mechanism that uses different instruments. Eight major capital increase channels including common stock, preferred stock, capital reserves, etc. were allowed. The capital of an insurance company were divided into four categories, i.e. tier I capital, tier II capital, supplement I capital and supplement II capital, each with its own characteristics, criteria and required amount. CIRC supported the innovation in capital increase, reached out to relevant government department to discuss the feasibility of and ways to broaden financing channel for insurance companies. *Notice of CIRC on Insurance Companies Issuing Preferred Stocks* and *Announcement of PBOC and CIRC on Insurance Companies Issuing Capital Supplement Bond* were drafted.

## Market Conduct Supervision

In face of the extremely complex internal and external situation in 2014, CIRC insisted on strict risk prevention, strengthened market conduct supervision, carried out new on-site inspection methods, straightened up the market, and achieved the goal of preventing regional and systemic risks.

### Overall Reinforcement of On-site Inspection

In 2014, CIRC sent 2,586 teams to inspect 2,739 insurance institutions and intermediaries. According to the inspection results, 455 institutions and intermediaries and 529 persons received administrative sanctions, including disqualification of 24 persons, revoking the license of 13 institutions, forbidding the new business of 11 institutions. Besides, 776 insurance institutions and 350 persons were talked to by the regulators, received a notice of criticism or a letter from the regulator.

### Special Inspection in Three Major Areas

First, an inspection on agriculture insurance was jointly conducted by CIRC and Ministry of Finance, covering 166 branches/subsidiaries of 11 non-life insurance companies. This inspection was mainly focused on irregularities such as false underwriting and false claims that infringed the interests of the state and the farmers. Second, nationwide inspection on the compliance of major illness insurance was carried out. With 3 parent-company inspection teams and 30 province-level teams, adopting large scale geographical cross examination for the first time, focusing on 121 major illness insurance programs, this inspection reviewed the operation of major illness insurance since the launching of this pilot project to make sure that this policy actually benefited the people. Third, overall inspection of insurance intermediary market, covering 135 insurance companies, 1,745 province branches, 2,530 full-time insurance intermediaries and 617 part-time insurance intermediaries was carried out. These unprecedented large scale theme inspections established the authority of CIRC and contained irregularities.

**CIRC Shanxi Bureau Strengthened Inspection in County-level Market**

CIRC Shanxi Bureau conducted well-focused quarterly inspections in county-level market, covering all 119 counties in Shanxi Province. Through the inspection, Shanxi Bureau was able to fully understand the situation in the county-level market. Seeing that agriculture insurance and major illness insurance were in great need, the Bureau encouraged expansion of the supply of these two products.

### On-going Supervision to Mitigate Case Risks

In 2014, CIRC took strong measures to mitigate major case risks. Efforts were made to spot illegal behaviors before they got worse. 65 life insurance companies were investigated for fund misuse. Through information sharing of typical cases and exchange of experience, the regulators were able to better resolve similar cases. During the investigations, 17 persons were detained so that they cannot transfer money or escape to other countries. After the investigations, punishments were given to warn others. Under the guidance of CIRC, the market players have held 403 persons in 151 cases accountable. This increased the senior management's sense of responsibility and awareness of risk prevention. Over 30 major cases were investigated and based on the problems found in those cases, 10 insurance companies were asked to fix the loopholes in their company management procedure.

### Steady Progress of "Anti-fraud, Anti-money Laundering and Anti-illegal Fund Raising" Campaign

"Anning Action" jointly carried out by CIRC and the police department in Zhejiang Province, Fujian Province, Ningbo City and Xiamen City, provided 5,599 clues of insurance fraud to the police and assisted the police to detect 184 fraud crimes with amount of near RMB 19 million Yuan and 29 criminal groups. The third Cross-Strait Anti Insurance Fraud Seminar was held in Xi'an with the theme of "Anti Insurance Fraud in Big Data Age", in which experience in anti insurance fraud with big data technology was shared. The MOU between CIRC, Office of the Commissioner of Insurance of Hong Kong and Monetary Authority of Macao on anti-fraud was signed in Macao. The anti-money laundering mechanism of insurance industry took shape, and special inspections were carried out on four insurance institutions. *Guidance for Insurance Institutes on Risk Assessment and Client Rating of Money Laundering and Terrorist Financing* was released to guide insurance institutions to rate their clients by money laundering risks. CIRC organized the insurance industry to conduct examination on illegal fund raising activities, launched "Anti-illegal Fund Raising Awareness Month", sent out 1.45 million pamphlets and reached out to over 10 million people.

## Insurance Legal System Construction

In 2014, CIRC continued to reinforce and improve the legal system. The four-layered insurance legal system with the *Insurance Law,* insurance administrative rules, regulations, and guidance has taken shape, providing a solid foundation for the sustainable, healthy and fast growth of the insurance industry.

### Completing the Implementation Assessment of *Insurance Law* to Promote the Revision of *Insurance Law*

In June 2014, CIRC completed the assessment on the implementation of *Insurance Law* and set the principle and priority of revision. In July 2014, CIRC launched the revision of *Insurance Law*. The revised draft was released for consultation in the insurance industry and among some academic experts at the end of 2014, for further research and improvement.

### Revising Rules, Regulations and Measures

In 2014, CIRC revised and released

- *Administrative Rules on the Qualification of Director, Supervisor and Senior Managerial Personnel of Insurance Companies*
- *Measures for Administrative Approval of CIRC*
- *Interim Measures on Insurance Fund Management* and
- *Administrative Measures on Insurance Company Equity Shares*

### Strengthening the Management of Regulatory Documents

In the first half of 2014, CIRC reviewed all the regulatory documents in force. Based on the principle of "unification, market-orientation, and efficiency", CIRC pushed forward the promulgation, revision and annulment of regulatory documents for a more up-to-date and organized regulatory document system.

## International Cooperation and Communication

In 2014, CIRC continued to strengthen its cooperation with international organizations including the International Association of Insurance Supervisors (IAIS), the International Organization of Pension Supervisors (IOPS), the Asian Development Bank (ADB) and the Access to Insurance Initiative (A2ii), proactively participated in Asian Forum of Insurance Regulators(AFIR) and was elected as Forum Chairman, expanded bilateral exchanges with major countries (regions), and explored cooperation on themes such as cross-border supervision, pension, health insurance, solvency and investment regulation. CIRC has established and improved insurance regulatory cooperation mechanism with the United States, the European Union, Canada, United Kingdom, France, Australia, Thailand, Isle of Man, etc. CIRC also continued to cooperate with Hong Kong, Macao and Chinese Taipei on financial services. CIRC has widely participated in international insurance standard setting, exchange activities and construction of regional cooperation platform. Based on the situation of insurance industry development and opening up, CIRC participated in a number of multilateral negotiation mechanisms in coordination with national overall foreign strategy. These mechanisms promoted information sharing and exchange among regulators, and prevented cross-border risk transfer. The international cooperation and communication played a positive role in promoting China's insurance regulation, expanding its international influence, and maintaining the sustainable and healthy development of the Chinese insurance industry.

## Human Resources and Information System

### Human Resources

As of the end of 2014, CIRC had 2,835 employees, including 383 at head office, 2,452 at local branches. Among them, 1,717 were male and 1,118 were female, accounting for 61% and 39% respectively; 99% of the employees hold Bachelor degrees or above; 2,547 employees were under the age of 45, accounting for 90%.

In 2014, CIRC intensified its effort in training. The *2014-2018 Plan on Training of Insurance Regulators* was promulgated, three sessions of training programs for directors general were held to learn and implement the important remarks of Party Secretary General Xi Jinping.

## Information System Upgrade

### Improvement and Innovation

In 2014, CIRC reorganized the Information Work Committee, set up its working procedure, and pushed forward information upgrade. The standardization of insurance industry was further promoted with the revision of ten standards such as the *Standard of Insurance E-Commerce Platform* and the *Insurance Terminology*. Remote inspection was conducted to ten insurance companies for the first time, providing the basis for establishment of off-site risk regulation and assessment IT system.

### Progress in Regulatory Information System

In 2014, CIRC strengthened the development and upgrade of regulatory information system by setting up 6 IT systems including human resources evaluation system and intermediary market review system, upgrading 4 systems including electronic file transfer system. Based on the framework of "two cities and three centers", CIRC completed the planning and construction of data backup center in Nanjing, conducted a feasibility research of constructing same-city main data center, and made solid progress in the construction of "two cities and three centers" modern insurance information framework.

Photos by staff of the insurance industry

Photos by staff of the insurance industry

# 05

# Market Performance

- Non-life Insurance Market
- Life Insurance Market
- Insurance Intermediaries Market
- Insurance Fund Investment
- Professional Reinsurance Market
- Opening up of the Chinese Insurance Market

In 2014, China's insurance industry achieved premium income of RMB 2.02 trillion Yuan (+17.5% YoY). The insurance penetration and density were 3.18% and RMB 1,479.3 Yuan respectively. Insurance companies paid out RMB 719.44 billion Yuan (+15.9% YoY). The total assets of insurance companies amounted to RMB 10.2 trillion Yuan, a 22.3% increase from the start of the year.

# Non-life Insurance Market

## Stable Growth of Premium Income

In 2014, non-life insurance companies achieved premium income of RMB 754.61 billion Yuan, up by 16.4% YoY while down by 0.8 percentage point from 2013. Premium income of auto insurance reached RMB 551.59 billion Yuan, up by 16.8% YoY, while premium income of non-auto insurance reached RMB 203.02 billion Yuan, up by 15.3% YoY.

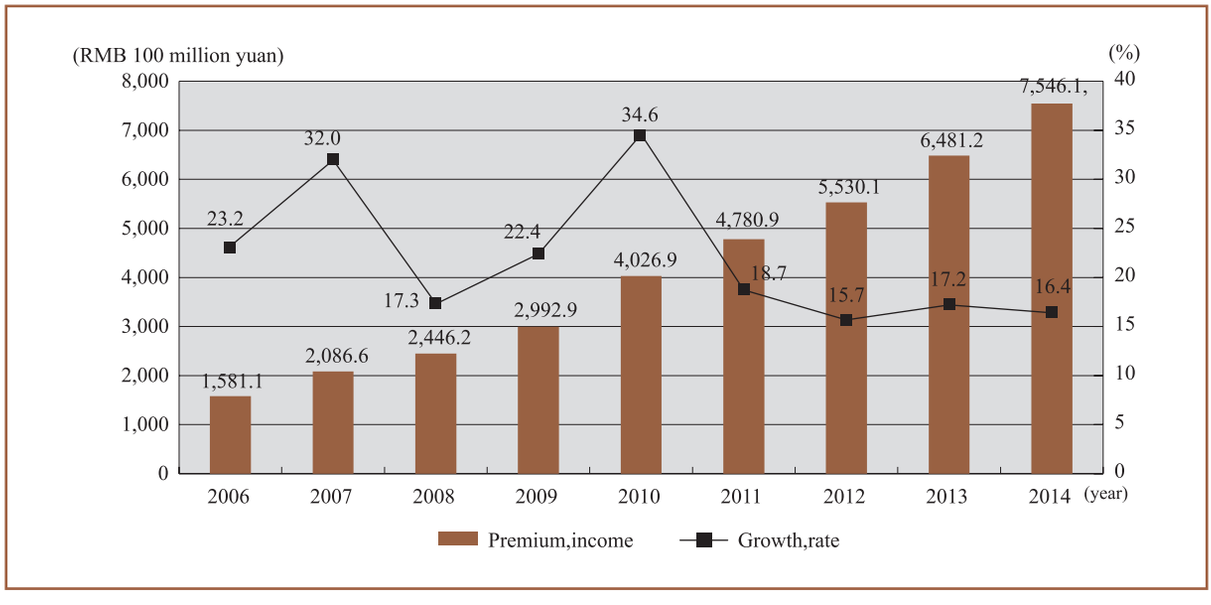


Chart 1 Premium Income and Growth Rate of Non-life Insurance Companies during 2006-2014

The top 5 contributors of 2014 non-life premium income were auto insurance (RMB 551.59 billion Yuan), commercial property insurance (RMB 38.74 billion Yuan), agricultural insurance (RMB 32.58 billion Yuan), liability insurance (RMB 25.34 billion Yuan) and credit insurance (RMB 20.07 billion Yuan), which altogether accounted for 88.6% of the market total.

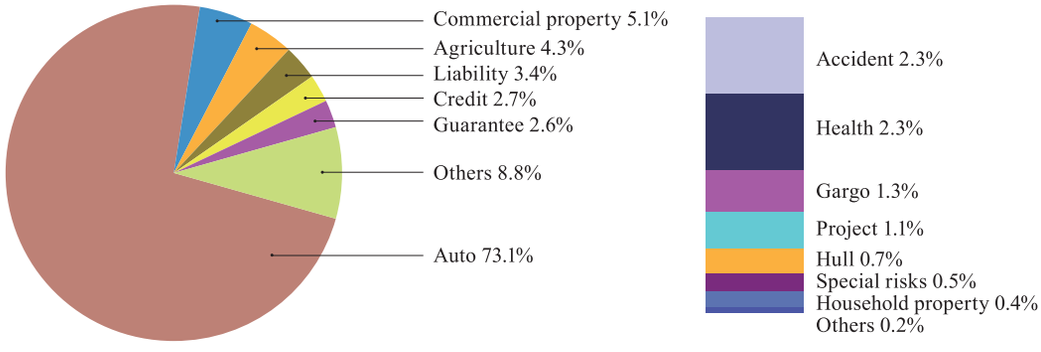


Chart 2 Portfolio of Non-life Insurance Business in 2014

Most of the non-life insurance lines maintained stable growth, including auto (+16.8% YoY), liability (+16.9% YoY), credit (+29.3% YoY), guarantee (+66.1% YoY), accident (+14.1% YoY) and health (+44.5% YoY).

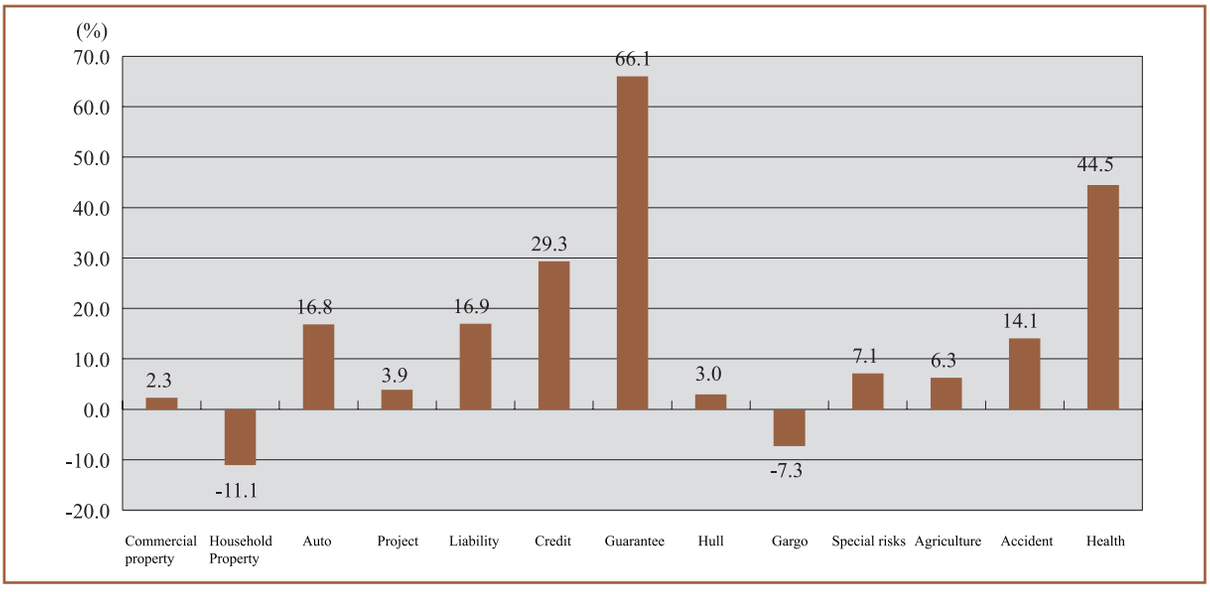


Chart 3 Premium Growth of Major Lines of Non-life Insurance in 2014

## Industry Capacity Reinforced Significantly

In 2014, total assets of non-life insurance companies amounted to RMB 1.4 trillion Yuan, up by 26.9% YoY, and 10.5 percentage points higher than the growth rate of premium income. The net assets amounted to RMB 384.06 billion Yuan, up by 52.9% YoY, 36.5 percentage points higher than that of premium income.

## Market Concentration Increased

As of the end of 2014, there were 67 non-life insurance companies in the market, among which 45 were domestic companies and 22 were foreign invested companies. The market share of the top 5 companies accounted for 74.7% (by premium income), up by 0.4 percentage point from a year earlier.

Table 1 Top 10 Non-life Insurance Companies by Premium Income in 2014

| Rank | Name | Capital Structure | Premium Income(RMB billion Yuan) | Market Share (%) |
|---|---|---|---|---|
| 1 | PICC Property and Casualty Company Limited | Domestic | 252.42 | 33.4 |
| 2 | Ping An Property and Casualty Insurance of China, Ltd. | Domestic | 142.86 | 18.9 |
| 3 | China Pacific Property Insurance Co., Ltd. | Domestic | 92.84 | 12.3 |
| 4 | China Life Property and Casualty Insurance Company Limited | Domestic | 40.40 | 5.4 |
| 5 | China United Property Insurance Company Limited | Domestic | 34.87 | 4.6 |
| 6 | China Continent Property & Casualty Insurance Company Ltd. | Domestic | 22.36 | 3.0 |
| 7 | Sunshine Property and Casualty Insurance Co., Ltd. | Domestic | 21.17 | 2.8 |
| 8 | China Export & Credit Insurance Corporation | Domestic | 18.12 | 2.4 |
| 9 | Taiping General Insurance Co., Ltd. | Domestic | 13.27 | 1.8 |
| 10 | Tian An Insurance Co., Ltd. | Domestic | 11.15 | 1.5 |
| | Total | | 649.46 | 86.1 |

### Underwriting Profit Back to Growth

In 2014, non-life insurance companies achieved underwriting profits of RMB 4.26 billion Yuan, up by 93.5% YoY. Auto insurance had underwriting loss of RMB 1.19 billion Yuan, 2.07 billion Yuan less compared with 2013. The whole industry achieved net profit of RMB 52.05 billion Yuan, up by 94% from a year earlier which benefited from the significant increase of investment return.

### Risks Kept Under Control

At the end of 2014, the solvency and core capital ratio of all non-life insurance companies were sufficient. All of them maintained a solvency adequacy ratio of more than 150%, and no signs of systemic or regional risks were detected.

### Protection Level Continued to Rise

In 2014, the non-life insurance industry's total sum insured was RMB 761.7 trillion Yuan, which was 12 times of nominal GDP, 13% up from a year earlier. The claim payment totaled RMB396.9 billion Yuan, 11.7% up from a year earlier. Insurance companies took an active part in disaster relief activities, giving full play to the insurance functions of improving and protecting people's livelihood and disaster relief, helping the affected districts quickly restore normal production and life. In 2014, the non-life insurance industry paid RMB 930 million Yuan to 1.187 million affected households in Liaoning Drought, paid RMB 1.55 billion Yuan and 420 million Yuan to Hainan, Guangdong and Guangxi hit by Typhoon Rammasun and Typhoon Kalmaegi respectively.

## Life Insurance Market

### Premium Income Grew Rapidly

In 2014, the life insurance market grew strongly, with premium income totaling RMB 1,268.73 billion Yuan, up by 18.2% YoY, 10.3 percentage points higher than 2013. As of the end of 2014, new policies premium income reached RMB 656.86 billion Yuan (+31.5% YoY), representing 51.8% of the total premium income of life insurance companies. Among these, the new installment payment policies contributed RMB 174.76 billion Yuan in premium (+18.9% YoY), accounting for 26.6% of the total premium of new life policies.

### Product Structure was Remarkably Improved

Because of the market-oriented pricing reform of life insurance, the product structure was remarkably improved. In 2014, the premium income from ordinary life insurance stood at RMB 429.65 billion Yuan (+258% YoY), accounting for 33.9% of the total premium income of life insurance companies. Participating products premium income totaled RMB 650.88 billion Yuan (-20% YoY), representing 51.3% of the total premium income from life insurance companies. The premium income from unit-linked insurance reached RMB 440 million Yuan (+0.1 YoY), and the premium income from universal insurance reached RMB 9.19 billion Yuan (+5% YoY), representing 0.03% and 0.7% of the total premium from life insurance companies respectively.

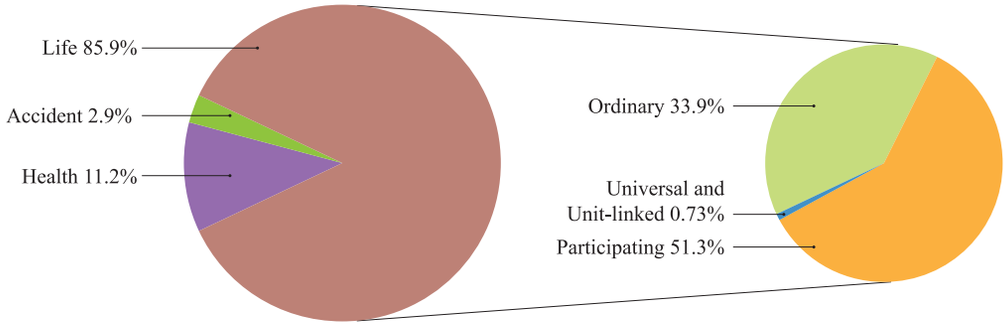


Chart 4 Portfolio of Life Insurance Business in 2014

In 2014, health insurance and accident insurance grew quickly. The premium income of health insurance totaled RMB 141.58 billion Yuan (+41.6% YoY), and accident insurance to totaled RMB 37.07 billion Yuan (+19.4% YoY). Together they accounted for 14.1% of the total life insurance premium, up by 1.8 percentage points from 2013.

**Column 9 Official Implementation of the *Standard and Code of Disability Evaluation in Life Insurance***

On January 1,2014, the *Standard and Code of Disability Evaluation in Life Insurance* was officially implemented. The *Standard* further enlarged the protection coverage of accident insurance and improved the standardization of disability claim handling of accident insurance. The *Standard* also laid the foundation for future standardization, collection and analysis of accident insurance data, which could help the overall of upgrade the operation and management of accident insurance.

## Steady Development of All Distribution Channels

In 2014, the individual agent distribution channel realized premium income of RMB 617.45 billion Yuan (+12.4% YoY), accounting for 48.6% of the total life insurance premium, 2.5 percentage points lower than the share in 2013. The bancassurance channel realized premium income of RMB 494.69 billion Yuan (+25.5% YoY), accounting for 39% of the total, 2.3 percentage points higher than 2013. Direct sales channel generated premium income of RMB 126.47 billion Yuan (+23.8% YoY), accounting for 10% of the total life premium income, 0.4 percentage points higher than 2013. Full-time institution agents contributed RMB 7.49 billion Yuan (-1.6% YoY). Part-time institution agents generated premium income RMB 16.34 billion Yuan (+3.6% YoY). Insurance brokers contributed RMB 6.28 billion Yuan (+38.9% YoY).

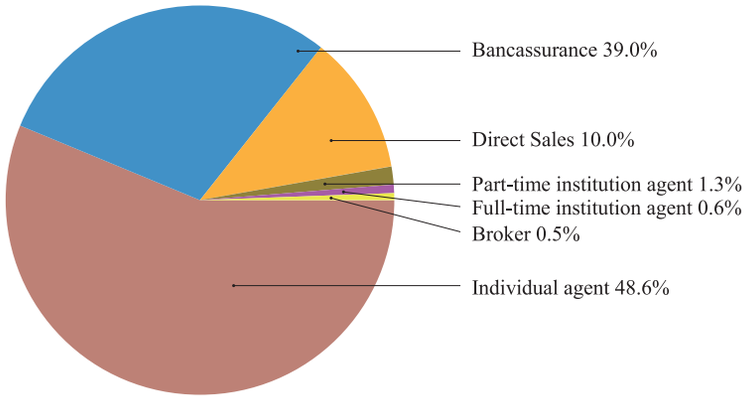


Chart 5 Distribution of Life Insurance Business in 2014

## Industry Capacity Continued to Develop

As of the end of 2014, the total asset of life insurance companies amounted to RMB 8,254.54 billion Yuan (+20.8% YoY). The industry achieved net profits of RMB 109.27 billion Yuan, up by 119.6% from a year earlier. The solvency surplus increased significantly, further building up the capital buffer.

As of the end of 2014, there were 73 life insurance companies in the market, 3 more than that of 2013, among which 45 were domestic and 28 were foreign invested.

In 2014, the top 5 life insurance companies by premium income accounted for a combined market share of 62.4%, down by 7.1% percentage points YoY. This indicates further decline in market concentration.

## Fast Growth of Compensation and Payout

In 2014, life insurance companies paid RMB 322.5 billion Yuan in compensation and payout(+21.6% YoY).

Table 2 Top 10 Life Insurance Companies by Premium Income in 2014

| Rank | Name | Capital Structure | Premium (RMB billion Yuan) | Market share (%) |
|---|---|---|---|---|
| 1 | China Life Insurance Company Ltd. | Domestic | 331.00 | 26.1 |
| 2 | Ping An Life Insurance Company of China, Ltd. | Domestic | 173.99 | 13.7 |
| 3 | New China Life Insurance Co., Ltd. | Domestic | 109.87 | 8.7 |
| 4 | China Pacific Life Insurance Co., Ltd. | Domestic | 98.69 | 7.8 |
| 5 | PICC Life Insurance Company Limited | Domestic | 78.63 | 6.2 |
| 6 | Tai Kang Life Insurance Co., Ltd. | Domestic | 67.90 | 5.3 |
| 7 | Tai Ping Life Insurance Co., Ltd. | Domestic | 65.13 | 5.1 |
| 8 | Anbang Life Insurance Co., Ltd. | Domestic | 52.89 | 4.2 |
| 9 | Sino Life Insurance Co., Ltd. | Domestic | 36.71 | 2.9 |
| 10 | China Post Life Insurance Co., Ltd. | Domestic | 21.95 | 1.7 |
| | Total | | 1 036.77 | 81.7 |

Table 3 Claims Payment of Life Insurance Companies in 2014

| Type | Claim Payment (RMB billion Yuan) | Growth rate YoY (%) | Share (%) |
|---|---|---|---|
| Life | 270.48 | 20.2 | 83.9 |
| Health | 44.69 | 33.3 | 13.8 |
| Accident | 7.32 | 11.9 | 2.3 |
| Total | 322.49 | 21.6 | 100.0 |

### Market Risks were Effectively Prevented

First, the maturity payment risk and the surrender risk were steadily resolved. In 2014, the surrendered premium value reached RMB 323.09 billion Yuan(+69.5% YoY), with the surrender ratio of 5.71%. The insurance industry constantly strengthened risk prevention, weathered the maturity payment and the surrender peak, and held the risk bottom line. Second, individual risks were successfully handled. The risk of individual companies was properly handled to maintain the stability of the whole industry. Thirdly, the life insurance industry maintained sufficient solvency. As of the end of the fourth quarter of 2014, only one life insurer was below the solvency standard, and the solvency ratio of other companies was above 150%. Fourth, the high cash value business developed in order. In the beginning of 2014, faced with the spurt of growth of the high cash value business, CIRC promptly adjusted its regulatory policies and released *Notice on Regulation of High Cash Value Insurance Products.* After the release of the *Notice*, the growth rate of the high value business declined by 80%, 85% and 84% in the second, third and fourth quarter respectively, and its precariously fast growth was effectively contained.

## Insurance Intermediaries Market

### Market Players

#### Full-time Institution Intermediaries

As of the end of 2014, there were 2,546 full-time institution intermediaries in China, 21 more compared with 2013. Out of the total number, there were 1,764 full-time insurance agencies, 445 insurance brokers and 337 loss adjusters. They had a registered capital of RMB 26.16 billion Yuan (+16.8% YoY).

#### Part-time Insurance Agencies

As of the end of 2014, there were 210,108 part-time agencies nationwide, including 179,061 from the financial sector, 31,047 from other sectors.

### Performance of the Insurance Intermediaries Market

In 2014, insurance intermediaries contributed premium income totaling RMB 1,614.42 billion Yuan, accounting for 79.8% of the total insurance premium, 0.5 percentage point lower than that of 2013, including RMB 472.17 billion Yuan for non-life insurance and RMB 1,142.25 billion Yuan for life insurance.

#### Full-time Institution Intermediaries

In 2014, all full-time institution intermediaries achieved premium income of RMB 147.24 billion Yuan (+ 28.2% YoY), accounting for 7.3% of the total national premium income.

Insurance agencies produced a premium income of RMB 96.79 billion Yuan, accounting for 4.8% of the total national premium income, including RMB 89.3 billion Yuan for non-life insurance and RMB 7.49 billion Yuan for life insurance. Their commission income was RMB 18.48 billion Yuan, including RMB 15.66 billion Yuan of commission generated from non-life insurance and RMB 2.82 billion Yuan from life insurance.

Insurance brokers contributed RMB 50.45 billion Yuan of premium income, accounting for 2.5% of the total national premium income, including RMB 44.17 billion Yuan from non-life insurance, RMB 6.28 billion Yuan from life insurance. Insurance brokers generated a revenue of RMB 9.42 billion Yuan, including RMB 7.19 billion Yuan from non-life insurance, RMB 1.16 billion Yuan from life insurance, RMB 180 million Yuan from reinsurance and RMB 890 million Yuan as consulting fees.

Insurance loss adjusters' revenue was RMB 2.26 billion Yuan.

### Part-time Agencies

In 2014, all the part-time agencies achieved premium income of RMB 700.89 billion Yuan, accounting for 34.6% of the total national premium income, including RMB 189.86 billion Yuan from non-life insurance, and RMB 511.03 billion Yuan from life insurance.

### Individual Agents

In 2014, individual agents contributed premium income of RMB 766.29 billion Yuan, accounting for 37.9% of the total national premium income, including RMB 148.84 billion Yuan under non-life insurance and RMB 617.45 billion Yuan under life insurance.

## Insurance Fund Investment

As of the end of 2014, the balance of insurance fund investment totaled RMB 9.3 trillion Yuan, accounting for 91.9% of the total assets of the industry, up by RMB 1.6 trillion Yuan or 21.4% from the beginning of the year.

Asset portfolio had several features. Firstly, fixed income products continued to be the main asset class, with debt investment such as government debt, financial debt and corporate debt standing at RMB 3.6 trillion Yuan, representing 38.2% of the total portfolio, and bank deposit at RMB 2.5 trillion Yuan, representing 27.1% of the total. Secondly, equity investment rose steadily, with the investment in stocks and mutual funds standing at RMB 1 trillion Yuan, representing 11.1% of the total investment, 1.1 percentage points higher than that of 2013. Thirdly, the alternative investment grew rapidly. The investment in long-duration equity shares was RMB 639.88 billion Yuan, accounting for 6.9% of the portfolio; the investment in real estate was RMB 78.44 billion Yuan, accounting for 0.8%; infrastructure investment plans amounted to RMB 731.7 billion Yuan, accounting for 7.8%.The above-mentioned 3 classes rose by 59%, 13.9% and 66% respectively compared with the beginning of the year.

Investment performance was good. In 2014, the whole industry realized investment return of RMB 535.88 billion Yuan, 170.05 billion more than in 2013. The financial return rate on investment was 6.3%, 1.3 percentage points higher than in 2013, and the overall return rate was 9.2%, 5.1 percentage points higher than in 2013. Both the financial and overall return rate broke the best records in the past five years.

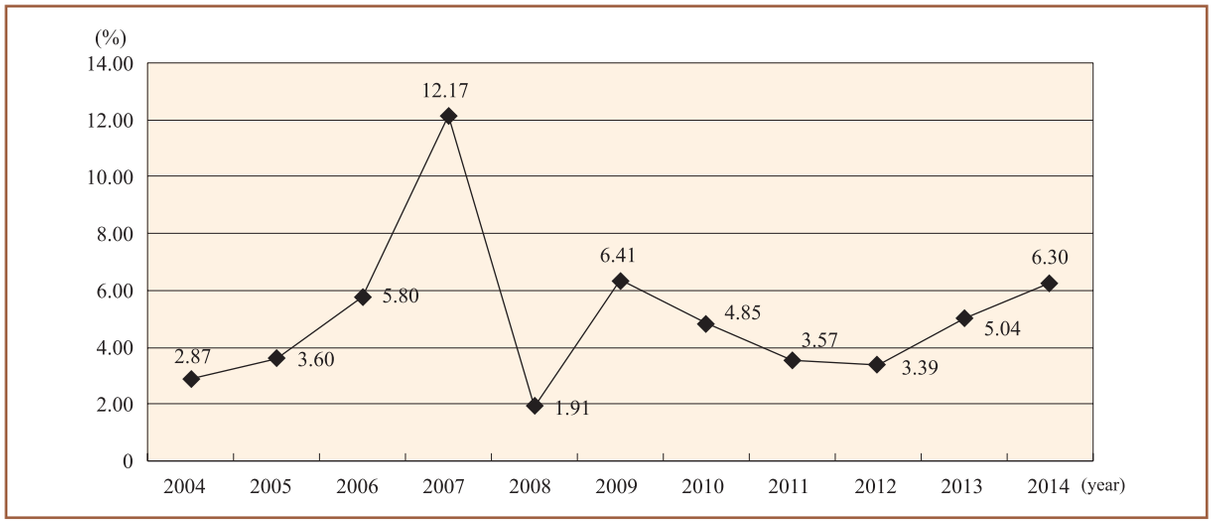


Chart 6 Investment Return from 2004 to 2014

# Professional Reinsurance Market

## Reinsurance Business Continued to Grow

In 2014, premium amounting to RMB 173.78 billion Yuan was ceded to reinsurers, 52% higher than that of 2013, among which RMB 92.94 billion (+7.7% YoY) were from non-life insurers, and RMB 80.84 billion Yuan (+188.6% YoY) were from life insurers. The rapid increase of the ceded life business was due to large scale of facultative reinsurance arrangements of some life insurers to ease their solvency pressure.

## Reinsurance Companies Maintained Stable Growth

In 2014, reinsurers collected premium income of RMB 151.85 billion Yuan (+55.7% YoY) and made claim payment of RMB 39.3 billion Yuan (+11.2% YoY). They realized underwriting profit of RMB 1.17 billion Yuan and net profit of 5.88 billion Yuan.

## Faster Expansion of Overseas Market

In 2014, premium of RMB settled cross-border reinsurance business reached RMB 9.54 billion Yuan, with 7 entities expanding to 4 markets namely, Hong Kong, Macao, Singapore and Chinese Taipei.

## Reinsurance Capacity Increased Rapidly

As of the end of 2014, there were 1 reinsurance group company and 9 professional reinsurance companies. Supported by the *Opinions of the State Council on Accelerating the Development of Modern Insurance Service Industry* and C-ROSS, many large insurance companies intended to set up professional reinsurance companies, many off-shore reinsurers actively sought to set branches in the Chinese market, and social capital expressed great interest in the reinsurance market.

# Opening up of the Chinese Insurance Market

## Foreign-funded Insurance Companies in China

In 2014, the premium income of foreign-funded insurance companies reached RMB 90.19 billion Yuan (+32.6% YoY), accounting for 4.5% of the national total, up by 0.5 percentage point from that of 2013. Compensation and payout totaled RMB 47.2 billion Yuan. The total assets of foreign-funded insurance companies amounted to RMB 664.67 billion Yuan, up by 223.14 billion Yuan or 50.5% from the beginning of the year, accounting for 6.5% of the national total, 1.3 percentage points higher than 2013.

As of the end of 2014, insurance companies from 15 foreign jurisdictions had 56 foreign-funded insurance companies and established 140 representative offices in China.

Table 4 Growth of Foreign-funded Insurance Companies in Beijing, Shanghai, Guangzhou and Shenzhen in 2014

| City | Premium income (RMB billion Yuan) | Growth (%) | Foreign-funded non-life insurance companies | | Foreign-funded life insurance companies | |
|---|---|---|---|---|---|---|
| | | | Premium income (RMB billion Yuan) | Growth (%) | Premium income (RMB billion Yuan) | Growth (%) |
| Beijing | 16.22 | 10.4 | 1.63 | 31.5 | 14.58 | 8.5 |
| Shanghai | 14.38 | 14.6 | 2.68 | 36.0 | 11.70 | 10.5 |
| Guangzhou | 10.53 | 29.6 | 1.33 | 17.7 | 9.22 | 31.7 |
| Shenzhen | 3.80 | 10.5 | 0.62 | 51.2 | 3.18 | 5.1 |

## Foreign-funded Non-life Insurance Companies in China

In 2014, the premium income of foreign-funded non-life insurance companies totaled RMB 16.8 billion Yuan (+102.4% YoY), accounting for 2.2% of market share. The compensation payment of foreign-funded non-life insurance companies reached RMB 9.12 billion Yuan (+50.5% YoY).

In terms of business structure, auto, commercial property, liability, cargo, agriculture and accident insurance made up the major source of premium income of foreign-funded non-life insurers, accounting for 56.6%, 11.5%, 9.1%, 7.3%, 5.9% and 4.7% of the total respectively. The above mentioned six insurance lines altogether accounted for 95.1% of the total premium income of foreign-funded non-life insurance companies.

Table 5 Foreign-funded Non-life Insurance Companies by Premium Income

| Rank | 2014 | | 2013 | | 2012 | |
|---|---|---|---|---|---|---|
| | Name | Market share in foreign-funded non-life insurance companies (%) | Name | Market share in foreign-funded non-life insurance companies (%) | Name | Market share in foreign-funded non-life insurance companies (%) |
| 1 | AXA Tianping | 39.4 | Groupama Avic | 17.2 | Chartis | 16.4 |
| 2 | Groupama Avic | 8.7 | AIG | 13.8 | Liberty Mutual | 10.7 |
| 3 | AIG | 7.0 | Liberty Mutual | 10.2 | Groupama | 10.5 |
| 4 | Starr | 6.3 | Allianz | 7.9 | Allianz | 8.6 |
| 5 | Allianz | 5.3 | Samsung | 7.4 | Samsung | 7.7 |
| | Total | 66.7 | Total | 56.5 | Total | 53.9 |

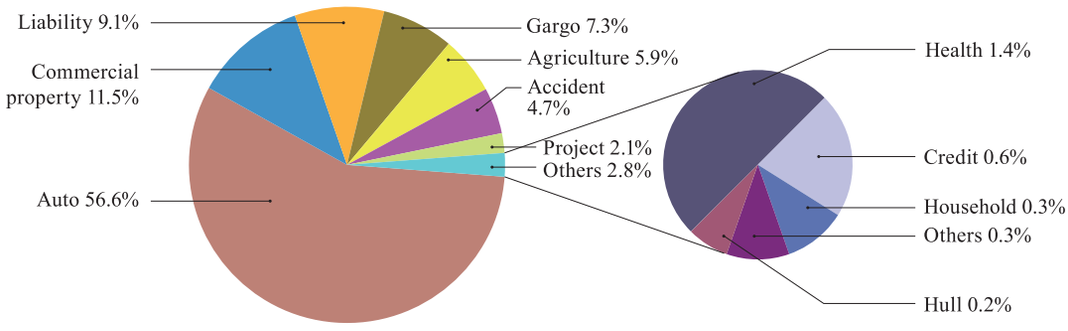


Chart 7 Foreign Non-life Insurance Business Mix

## Foreign-funded Life Insurance Companies in China

In 2014, the premium income of foreign-funded life insurance companies totaled RMB 73.39 billion Yuan (+23% YoY), accounting for 5.8% of the total premium income of life insurance companies nationwide. The claim payment of foreign-funded life insurance companies reached RMB 13.69 billion Yuan (+60.2% YoY).

Table 6 Foreign-funded Life Insurance Companies by Premium Income

| Rank | 2014 | | 2013 | | 2012 | |
|---|---|---|---|---|---|---|
| | Name | Market share in foreign-funded non-life insurance companies (%) | Name | Market share in foreign-funded non-life insurance companies (%) | Name | Market share in foreign-funded non-life insurance companies (%) |
| 1 | ICBC-AXA Life | 21.0 | ICBC-AXA Life | 17.2 | AIA | 18.3 |
| 2 | AIA | 14.4 | AIA | 15.8 | ICBC-AXA Life | 10.0 |
| 3 | Met Life | 9.2 | Met Life | 9.5 | Met Life | 9.8 |
| 4 | Generali | 7.6 | Generali | 8.0 | Generali | 8.8 |
| 5 | Cigna-CMB | 7.2 | Cigna-CMB | 7.1 | CITIC-Prudential | 7.6 |
| | Total | 59.4 | Total | 57.6 | Total | 54.5 |

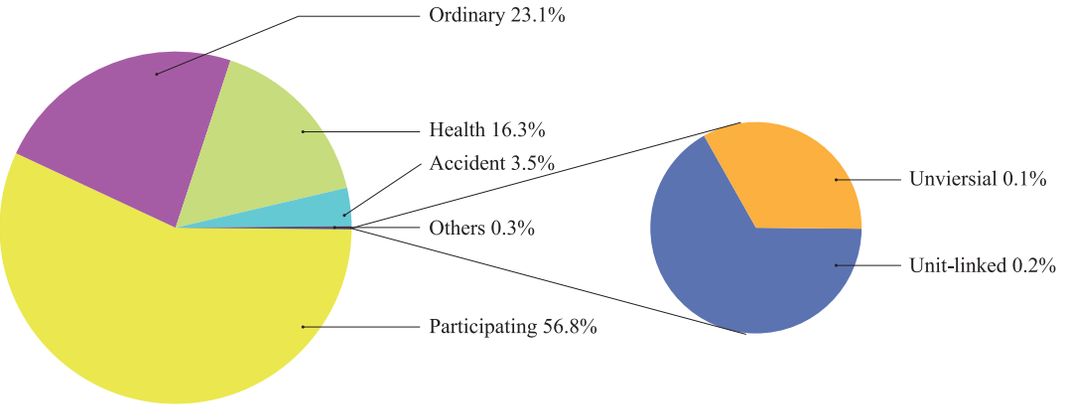


Chart 8 Foreign Life Insurance Business Mix

## Foreign-funded Reinsurance Companies

Foreign-funded reinsurance companies collected premium income of RMB 98.35 billion Yuan (+104.1% YoY), accounting for 64.8% of the total reinsurance premium income across the country, and made claim payments of RMB 22.75 billion Yuan (+12% YoY). Total profit was RMB 1.82 billion Yuan (+72.8% YoY).

## Overseas Operations of Chinese Insurance Companies

As of the end of 2014, 12 domestic insurers had set up 32 overseas operations, including 10 asset management companies. 4 domestic insurers had set up 7 overseas representative offices.

Photos by staff of the insurance industry

# 06

# Reform and Innovation in Insurance Sector

- Insurance Industry Implemented the *Opinions* and Entered New Development Era
- Greater Market-orientedness Achieved through Comprehensive and Deeper Reform
- Insurance Market Became More Vigorous through Innovation and Development

# Insurance Industry Implemented the *Opinions* and Entered New Development Era

In August 2014, the *Opinions of the State Council on Accelerating the Development of Mordern Insurance Service Industry (the Opinions)* was released. As a great mile stone for the development of modern insurance industry, the *Opinions* included 10 aspects, 32 items, with a clear theme, and proposed a series of powerful strategic measures for the reform and development of the insurance industry. The *Opinions* elevated the position of insurance industry. It defined the insurance industry as an important industry of modern economy for the first time, and gave a top-down design of how the growth of modern insurance service industry can be further boosted to play its part in the state governance system and governance modernization. The *Opinions* defined the strategic objectives. By 2020, insurance will be an essential means of risk management and financial management for government, enterprises and residents, with insurance penetration of 5% and insurance density of RMB 3,500 Yuan. To achieve this goal, the *Opinions* developed a comprehensive plan for the reform, development and regulation of insurance industry, and set clear requirement on improving insurance legal system to ensure the orderly development. The *Opinions* also upgraded supportive polices for the insurance industry including taxation incentives, fiscal and land use policies.

As an important strategic plan of the CPC Central Committee and State Council from the perspective of the overall social economic development, the *Opinions* provided guidance for insurance regulation under the new situation, and led the insurance industry to enter a new era of growth. The release of the *Opinions* caught a lot of attention at home and abroad. The international insurance community thought highly of the *Opinions*, acknowledged the leading position of China in realizing the function of insurance industry in social governance, and considered the *Opinions* an important contribution to international insurance development theory and practice.

Understanding and implementing the *Opinions* were the top priority of the insurance industry. CIRC developed the work plan for the implementation of the *Opinions,* held training seminars for CEOs of insurance companies, enhanced public awareness, and the leaders of CIRC gave lectures in provinces to promote the understanding of the *Opinions*. The Insurance Association of China, Insurance Society of China and CIRC branches organized training courses and seminars for the provincial offices of financial affairs and local governments. These governments worked out detailed plans for the *Opinions*. CIRC also worked closely with relevant central government departments in implementing the *Opinions*. A lot was achieved in implementing the *Opinions* in 2014.

First, market-oriented reform went deeper. CIRC set a framework of reform on universal insurance pricing mechanism based on research results and drafted the guidance of reform on commercial auto insurance pricing mechanism, and further promoted the reform on insurance fund investment. These market oriented reforms unleashed productivity and stimulated the market development.

Second, the market structure was further optimized. As of the end of 2014, there were 187 insurance institutions with 78,000 branches or subsidiaries nationwide. An open, balanced and vigorous modern insurance market system was basically formed with comprehensive, professional, regional insurance institutions and groups all developing, and captive insurance, mutual and internet insurers exploring new areas of growth.

Third, the insurance industry supported the social security system. It effectively filled the gap of social pension and health insurance through carrying out major illness insurance for rural and urban residents, managing medical protection plans, developing supplementary pension and health insurance, and managing corporate annuity plans and professional annuity plans, etc..

Fourth, the insurance industry actively supported modern agriculture. In 2014, the coverage of agriculture insurance continued to expand and the quality of service continued to improve. China is now the second largest agriculture market just after the Unit States, and the largest livestock insurance and forest insurance market.

Fifth, the insurance industry improved the disaster prevention and relief system as part of the social governance system. Liability insurance for food security, medical care and environment protection were encouraged to reduce disputes. CIRC also made explorations in catastrophe insurance system, pushed forward the legislation process of catastrophe insurance, and carried out pilot projects in this area.

Sixth, consumer interests were better protected. CIRC released *Opinions of CIRC on Strengthening Insurance Consumer Interest Protection* to address consumers' concerns. It also released *Notification of CIRC on Cleaning up the Unsettled Claims in 2014 and the Last 3 Years*, so that the public can better supervise work in this area.

In general, a good beginning was achieved for implementing the *Opinions* with a series of policies under development which would promote the long-term development of the industry, a number of reform measures in key area under promotion, and policy innovations emerging constantly. Government of all levels paid high attention: 21 provinces/ cities had already released documents to support the modern insurance service industry, 2 provinces/cities were about to do so, and 5 provinces/ cities had finished public consultation on the draft of the document.

The insurance industry is now standing at a new historic point, and will continue to serve economic and social development. To achieve that goal, and in accordance with the *Opinions*, market orientation and bottom-line thinking will persist to further unleash potential of the industry. It is foreseeable that with the support and guidance of the CPC Center Committee and State Council, and the hard work of the whole industry, the insurance industry will have an even brighter future.

### Zhejiang Province Issued Implementation Details of the *Opinions*

On September 2, 2014, Zhejiang Provincial Government issued *Opinions about Further Enhancing the Role of the Insurance Industry in Promote the Development of Economy and Society,* becoming the first province issuing implementation details of the *Opinions*. This document put forward 10 solutions for promoting the development of insurance in Zhejiang, set 17 key government-industry cooperation projects including small loan guarantee insurance, catastrophe insurance, and designated related work to 19 departments of the provincial government. With the support of Provincial Office of Financial Affairs, Zhejiang Bureau held a meeting to work on the specific areas that insurance can help with economic and social development in Zhejiang. A province-level insurance think tank was established and field experience exchange meetings were held to encourage governments at all levels to enhance the role of insurers in social management or purchase insurance products and service so as to provide public services more efficiently. Zhejiang Bureau made efforts to expand the government-industry cooperation projects.

### Column 10 Agricultural Target Price Insurance Proved to be Successful in Pilot Projects

In 2014, in accordance with the spirit of No.1 document of the central government and the *Opinions*, CIRC vigorously promoted target price insurance pilot projects and achieved good results. 20 provinces either launched the project or set out plans for it. Among them, Heilongjiang, Hebei, Henan and other 15 provinces had issued policies; Shandong, Liaoning and other 5 provinces had completed work plans, developed insurance products and planned to start in 2015. In 2014, 770,000 farmers participated in target price insurance. Premium income was RMB 280 million Yuan with risk coverage of RMB 6.2 billion Yuan (22 times as the premium income). The pilot projects provided target price insurance for crops, hogs, vegetables, and local featured agricultural products.

### Column 11 Construction of Beijing Insurance Industrial Park Accelerated

On April 8, 2014, Beijing Insurance Industrial Park Innovative Development Seminar and the opening ceremony for the Industrial Park were held in Shijingshan District. The Chairman of CIRC, Mr. Xiang Junbo, Deputy Secretary General of Beijing Municipal Party Committee and Mayor Wang Anshun inaugurated the Industrial Park, giving their bless for the fast growth of the Industrial Park. The overall goal of the Industrial Park construction was to build a national financial show case led by the insurance industry. Its good environment and quality services will create a successful zone featuring experiment, industry clustering and advanced culture to attract insurance innovation.

### Chinese Insurance Information Technology Company Inaugurated

On January 15, 2014, the Chinese Insurance Information Technology Company (CIITC) was formally established. The company was supposed to support the development of the industry, serve insurance regulation and protect customers by sharing information through a centrally managed, convenient, secure and efficient data sharing and interactive platform.

### First Chinese Insurer Featuring Marine Insurance Started Business

On December 4, 2014, CNOIC received official approval from CIRC for business commencement. CNOIC was the first private national multi-line property insurer focusing on marine insurance and Internet business devoted to serving marine industries, coastal economy and coastal areas by providing comprehensive professional insurance services.

### "New Directions, New Opportunities, New Future - Insurance Serving the Country"- Annual Academic Conference Held Successfully

On November 20 and 21, 2014, Insurance Society of China held the annual academic conference in Beijing with the theme "New Directions, New Opportunities, New Future - Insurance Serving the Country". In-depth discussions focusing on the *Opinions* were conducted. Chairman Xiang Junbo was present at the meeting and delivered an important speech. Mr. Li Yining, a famous economist, also attended the meeting and made a keynote speech about "New Normal and Insurance". The chairman of the International Insurance Society, Mr. Michael Morrissey, was invited to the meeting and spoke. The conference had a general meeting and 8 discussion panels. Over 800 representatives from departments of central and local governments and domestic and overseas insurers attended the conference.

# Greater Market-orientedness Achieved through Comprehensive and Deeper Reform

## Insurance Tariffs Reform Carried out Steadily

### The Market-oriented Reform of Life Insurance Tariffs

Approved by the State Council, on August 5, 2013, CIRC launched a market-oriented reform of life insurance tariffs so as to establish a tariff formation mechanism in line with the socialist market economy. The reform started with ordinary products, then expanded to universal products, and will further include participating products. In 2013, the reform for ordinary life insurance was implemented, removing the upper limit of 2.5% on assumed interest rate, and prescribing reserves evaluation rate,

and lowering capital requirements for protection products. In 2014, reform for universal insurance tariff was conducted on the basis of the experience of ordinary insurance tariff reform. Under the overall framework for life insurance tariff reform, CIRC revised the actuarial requirements for universal products. The detailed plan was thoroughly discussed and improved to achieve a better balanced relationship between innovation and risk control. As scheduled, CIRC would officially remove the ceiling on minimum guarantee interest rate of universal products in early 2015, and will try to lift the restriction on the assumed rate of participating products at the end of the year to realize full liberation.

Since the liberalization of assumed interest rate of ordinary life insurance, the policy was implemented smoothly and well received. Risks were under good control and the reform effect was obvious. First, there was sufficient product supply to meet the needs of the consumers. From the reform on August 5, 2013 to the end of 2014, 675 ordinary life insurance products with new rates were filed and approved, accounting for 23.4% of all the ordinary products filed at the same period. Secondly, prices went down. After the reform, the prices of mainstream ordinary products had dropped by 20% averagely, making customers more satisfied. Thirdly, business growth was fast. In 2014, the ordinary life insurance premium income reached RMB 429.65 billion Yuan, up by 258% year on year, accounting for 33.9% of the total life insurance premium income, 24 percentage points more than before reform, and became one of the growth engines for life insurance business. Fourthly, risks were effectively controlled. The whole industry had no spurts of surrenders or vicious competition and the transition from old products to new products was smooth.

### The Reform of Auto Insurance Clauses and Tarrifs

In 2014, CIRC formally launched auto insurance clauses and tarrifs reform. First, CIRC clarified the overall framework of the reform. CIRC drew up *Opinions about Deepening the Reform on the Administration of Commercial Auto Insurance Clauses and Tariffs,* specified the overall goal, basic principles, main content and working schedule of the reform. Secondly, CIRC guided the Insurance Association of China in revising the model clauses and documents of auto insurance. In order to address most urgent concerns of the consumers, a national standard code for 160,000 different types of vehicles, giving each a unique "ID card" for the insurance industry. CIRC also studied assessment and protection mechanism for innovative clauses to improve their effectiveness and provide greater incentives for innovation. Thirdly, CIRC completed tariff measurement for the reform. The tariff measurement framework was designed to raise the accuracy of the calculation. CIRC organized multi-dimensional measurement on over 620 million pieces of auto insurance information and established the first auto insurance actuarial database. Multiple sets of tariff measurement solutions were designed to form a final report on auto insurance tariff reform. CIRC had finished the calculation for pure premiums, which is a major breakthrough in the reform.

## The Reform of the Solvency Regulatory System

In 2014, CIRC successfully completed the design and review of 17 technical standards of the 3 pillars of C-ROSS. First, CIRC completed 9 regulatory rules of the first pillar on available capital, minimum capital, liabilities evaluation of life insurance policies, establishing risk-oriented quantitative capital measurement standards. Secondly, CIRC finished the design of rules for the second pillar on rating regulation (comprehensive risk rating), solvency risk management requirements and assessment, and rules for liquidity risk supervision. Thirdly, the technical standards for the third pillar were completed, establishing mechanisms for quarterly solvency disclosure, communication between regulator and stakeholders, and credit rating for insurers. Fourthly, CIRC completed rules for the insurance groups' solvency regulation, taking insurance conglomerates controlled by non insurance institutions under regulation for the first time and clarifying quantitative capital standards and solvency risk management requirements of insurance groups. Fifthly, CIRC developed the rules for solvency reporting, and established the solvency reporting system based on quarterly reports. Sixthly, according to the overall

framework and technical standards of C-ROSS, revisions concerning related articles in the *Insurance Law* were also proposed.

**Column 12 The Technical Framework of C-ROSS**

C-ROSS is a three-pillar prudential supervision system based on China's insurance risk stratification model. The first pillar of quantitative regulatory requirements is aimed at addressing 3 kinds of quantifiable risks, namely, insurance risk, market risk and credit risk. It requires insurers holding capital reflecting those risk exposures. The second pillar of qualitative regulatory requirements is aimed at addressing operational risk, strategic risk, reputation risk and liquidity risk, which are difficult to quantify. This pillar evaluates the risk management competence of insurance companies. The market discipline mechanism of Pillar 3, through public information disclosure and transparency enhancement, leverages market disciplinary power to address risks which are difficult to address by the conventional regulatory tools of Pillars 1 and 2. C-ROSS is also a new framework for insurance group solvency regulation, taking insurance conglomerates controlled by non insurance institutions under regulation for the first time, thus able to supervise a series of complex risks.

**Column 13 The Impact of C-ROSS**

The design and implementation of C-ROSS was an important milestone in the history of China's industry development and regulatory reform, which will accelerate the modernization of China's insurance regulatory system, support the sustainable, fast and healthy development of the insurance industry, and have far-reaching impacts on the global insurance paradigm.

Firstly, it can facilitate the transformation of development mode. C-ROSS comprehensively measures all risks of insurers' business activities, strengthens solvency regulation on insurers, and guides insurers to balance risks and cost of capital in the pursuit of growth, so as they will abandon the extensive growth pattern for more efficient growth.

Secondly, it can promote risk management competence of the industry. C-ROSS established an incentive mechanism for risk management, regularly assessing risk management competence of insurers, taking risk management competence into the capital requirements and urging insurers to constantly improve their risk management to enhance the core competitiveness of their business.

Thirdly, it could make the industry more attractive to capital. C-ROSS releases capital, making capital use more efficient and thus increasing the insurance industry's attractiveness to social capital.

Fourthly, it can promote greater participation in international insurance cooperation and exchanges. C-ROSS was comparable to international mainstream regulatory regimes both in terms of the "three pillars" regulatory framework, and with regard to the specific aspects of regulatory standards and requirements, facilitating international exchanges and cooperation.

## Market-oriented Reform of Insurance Fund Investment Going Deeper

In 2014, CIRC constantly deepened the reform of insurance fund investment, streamlining its procedures by releasing 12 policies to give more investment options and responsibility back to the market players themselves. A more dynamic and innovative market was the dividends of the reform. Firstly, CIRC steadily expanded the scope of investment. Insurance funds were allowed to be invested in Growth Enterprise Market stocks and inventory policies funds were allowed to be invested in blue-chip stocks, preferred stocks and venture capital funds, etc. Secondly, CIRC implemented a new multi-layered percentage regulation system based on insurance assets classes (not on breakdowns as the case before). Thirdly, CIRC deepened the reform of registration to improve the efficiency of product

distribution. By the end of 2014, the product registration scale has reached RMB 1,064.437 billion Yuan. Compared with the previous size of 294.1 billion Yuan, registered funds' size over the past two years was 3.5 times of the seven years before. Fourthly, CIRC strengthened preventive regulation and damage control, focusing on information disclosure, internal control, supervisory rating, asset custody and recognition etc., forming a modern multi-level regulatory framework of "One Base, Five Instruments and Three Pillars".

**Column 14 CIRC Promulgated *Notice about Strengthening and Improving Percentage Regulation on Insurance Funds***

In February 2014, CIRC issued *Notice about Strengthening and Improving Percentage Regulation on Insurance Funds*, which, on the basis of the regulations before, established a new percentage regulatory system based on insurance assets classes instead of on asset breakdowns as before. The new regulation is multi-leveled, differentiated and dynamic. The issuance and implementation of this *Notice*, integrated all rules on percentage regulation into one. On the one hand, the new rule greatly simplified the regulatory percentage requirements and preliminary realized international comparability; on the other hand, the new rule enhanced the vitality of the market, improved the efficiency of regulation, reflecting the regulatory philosophy of "liberalizing the front end and controlling the back end" and direction of regulation transformation.

**Column 15 New Rules Concerning Insurance Fund Investment in 2014**

- *Notice of CIRC about Insurance Funds Investing in Venture Capital*
- *Notice of CIRC General Office about Regional Supervision Pilot for Insurance Funds Investment*
- *Notice of CIRC and CBRC about the Standards of Insurance Asset Custody Business*
- *Notice of CIRC about the Trial Implementation of "Guidance for 5 Insurance Asset Risk Ratings"*
- *Notice of CIRC about Preferred Stocks Investment of Insurance Funds*
- *Notice of CIRC about Issuance of "Internal Control and Compliance Scoring Rules on Insurance Funds Investment"*
- *Notice of CIRC about Issuance of " Guidelines on Information Disclosure of Insurers' Fund Investment No. 1: Affiliated Transactions"*
- *Notice about the Insurance Investment in Trust Plans of Assembled Funds*
- *Notice about Authorization to Beijing Bureau and Some Other Bureaus to Carry out Pilot Supervision on Insurance Funds Investment*
- *Notice of CIRC about Standards of Bank Deposit of Insurance Funds*
- *Notice of CIRC about Strengthening and Improving Percentage Regulation on Insurance Funds*
- *Notice of CIRC about Insurance Funds Investing in GEM Stocks*

**Column 16 The Establishment of Insurance Asset Management Association of China**

On September 4, 2014, the founding conference of Insurance Asset Management Association of China and its first member congress were held in Beijing. The establishment of this association was one of the important achievements of market orientation reform and system innovation in the transformation of regulation approach. As the bridge linking market entities and regulators, the association will fulfill its functions of providing service to its members, protecting member interest, encouraging innovation and implementing industry self discipline. Its goal is to become a market-oriented, professional, modern and self-disciplined financial organization that reflects international experience so as to promote insurance asset management capability, lead innovation and encourage development of the industry.

## Further Improving Market Access & Exit Rules

In 2014, CIRC, in accordance with the guiding philosophy of "liberalizing the front end and controlling the back end", further improved market access and exit mechanism, adhered to the market-orientation, highlighted the characteristics of specialization, balanced the relationships of development and regulation, regulation and service, investors' enthusiasm and consumers' benefits. CIRC combined market access with market structure upgrade considerations, improved market exit and resolution system, in order to facilitate an appropriate level of competition and a dynamic and vigorous market.

First, CIRC issued *Measures for Merger & Acquisition of Insurers* to provide various incentive policies and regulatory measures on M&A of insurers, gave full play to the crucial role of market mechanism. Secondly, CIRC continually improved the system for new insurers expanding business regions, encouraging them to focus on provincial insurance market for the first 2 years to accumulate experience. Thirdly, CIRC supported innovative entities, promoted the pilot initiative of professional online insurance company, expanded the pilot initiatives of captives and mutuals, showing support and encouragement to specialization and differentiation of the insurers' operating for better serving economic and social development. Fourthly, for better and more transparent market access reviewing, CIRC optimized the system of Domestic Market Access Reviewing Committee by completing its main responsibilities, auditing objects and organization structure, and adding committee members.

### Column 17 *Measures for Merger & Acquisition of Insurers*

In March 2014, in order to further implement the spirit of the third plenary session of 18th CPC Central Committee and fully utilize the market mechanism to allocate insurance resources, regulate the behavior of the insurers' M&A, and promote the optimized allocation of insurance market resources, CIRC issued *Measures for Merger & Acquisition of Insurers.* It moderately expanded the sources of funding, relaxed shareholders' qualification requirements, and lifted the ban on horizontal acquisition. The *Measures* fully respected commercial wills, guided market self-discipline, stipulated regulatory measures including information disclosure, transition and lock-up period, and punishment mechanism.

### Column 18 Internet Insurance Achieved Fast Development

In 2014, internet insurance grew with fast momentum in China. There were 94 insurers conducting internet insurance business, which contributed premium income of RMB 87.08 billion Yuan, which was 1.7 times compared to 2013. Internet insurance was sold by insurers directly on their e-commerce websites, through the websites of internet insurance brokers and agencies, on third party platforms, or by a professional Internet insurer. Internet insurance achieved very eye-catching growth throughout all the year as there were so many forms of conducting this business. For instance, on the 2014 "Double 11" Online Shopping Day, over 187 million policies of product return insurance was sold, a world record for the transactions amount of a single product line in a single day. The premium income of product return insurance was over RMB 100 million Yuan. Zhongan Online, a pilot professional Internet insurer, developed nearly 50 insurance products, achieved premium income of nearly RMB 800 million Yuan with insured amount totaling RMB 1.94 billion Yuan, and realized profits in its first year of business. On the regulation and supervision of internet insurance, CIRC both encouraged and watched the developments closely to make sure the development of internet insurance business was healthy and compliant with regulations. It drafted *Interim Measures for Internet Insurance Supervision,* holding consumer protection and risk prevention as priorities, setting out clear requirements on information disclosure, quality of service, data security, strengthening market exit regulation to control the risks.

## Promoting Regulatory Reform of Insurance Products

The first was regulatory thinking upgrade. New rules were designed to strengthen product regulation. The focus was streamlining the regulatory procedure so as to give insurers greater freedom as well as more responsibilities. CIRC started the revision of *Measures for the P&C Insurance Companies' Clauses and Tariffs,* improving product regulation system and laying a solid foundation for the reform. It issued *Urgent Notice for Regulating Products Development and Sales of P&C Insurers* to regulate P&C insurance products' development, naming, selling and marketing, to better protect insurance consumers. The second was regulatory implementation improvement. CIRC started coding for life insurance products' terms, encouraged Insurance Association of China to establish a database and put it into use so that the public could scan QR codes or login the website of IAC to check the terms. A product information system was also established for more effective regulation. The third was other related work to consolidate product regulation. For example, CIRC guided IAC to promote easy-to-understand and standardized life insurance products and to revise its sample terms on the basis of international experience. It also guided the China Association of Actuaries in cash value research.

## Improving the Status of Insurance Industry in the Auto Industry Chain

Insurance industry actively involved in the construction of post-automobile market system. In September 2014, CIRC and the Ministry of Transport, NDRC and other 6 ministries jointly issued *Guidance for Promoting the Transformation and Upgrading of Automobile Maintenance Sector and Improving Service Quality,* setting out a work plan for establishing a traceable system of auto parts to improving the environment for auto insurance business.

In 2014, under the guidance of CIRC, the Insurance Association of China cooperated with the China Association of Automobile Maintenance for the research and publication of "Parts to Whole Car" price ratio, so as to guide the idea of rational consumption and the correct understanding about vehicles' post-sale costs. This research released the ratio of the price of all auto parts to the price of the whole car as well as the ratio of the price of 50 fragile parts to the price of the whole car for 36 types of cars. The published research results led to a series of positive effects: the first was public recognition. After the ratios were published, they were viewed over 1 million times in the first 10 days. The second was the antitrust campaign in vehicle industry. The research for "Parts to Whole Car" ratio directly led to multiple investigations on vertical monopoly in vehicle industry by ministries such as NDRC. Thirdly, it had a positive role in curbing parts price soaring, letting consumers know their options of vehicle maintenance and repair, and improving the status of the insurance industry in the automotive industry chain.

**Column 19 Characteristics of Domestic Vehicles' "Parts to Whole Car" Price Ratio**

A research about the "Parts to Whole Car" price ratio of domestic common types of vehicles issued by the Insurance Association of China found: first, the ratio was generally high. Normally vehicles' "Parts to Whole Car" ratio was below 300% in foreign countries, but 30, or 83% of the 36 types of vehicles in this research had a ratio higher than 300%. Secondly, this ratio varied greatly among different vehicle types, with the highest ratio being 4 times higher than the lowest.

# Insurance Market Became More Vigorous through Innovation and Development

In 2014, driven by reform and innovation, the insurance industry embraced new ideas and expanded their services. During explorations for new working mechanisms, this industry became more vigorous, provided more services and were more competitive.

## Product Innovation

In 2014, insurance institutions focused on specialized and differentiated products. After studying the insurance needs carefully, they used their expertise to develop new products, which became new growth engines for their business as well as satisfied the needs of more consumers.

### Sunshine P&C Launched Products for Unauthorized Charges to Protect Bank Account Safety

In 2014, Sunshine P&C Insurance formally launched "Sunshine Insurance for Unauthorized Charges", providing comprehensive protection for bankbooks, certificates of deposit, debit cards, credit cards (master and supplementary), online banking accounts, mobile phone bank accounts and third-party payment accounts so as to address the security issues of multiple accounts.

### Funde Sino Launch Mobile Internet Annuity

In 2014, Funde Sino Life Insurance Company launched a mobile Internet annuity product called "baby piggy bank". Designed for children, this product was fun, easy to understand, personalized, convenient and flexible. Parents could put small money and change into the mobile phone piggy bank for their children.

### Alltrust Insurance Succeed in Photovoltaic Power Plant Sunshine Index Insurance Program

In November 2014, Alltrust Insurance Company, in collaboration with SwissRe, successfully underwrote a sunshine index insurance program for 3 photovoltaic power plants. This insurance provided an effective transfer of power loss risk during the operation of the plant so as to ensure the estimated profits of the power stations, and meanwhile, helped raising credit for financing of the photovoltaic power programs.

### Zheshang P&C Initiate Guarantee Insurance for Private Bonds

Zheshang P&C Insurance Company cooperated with Stocks Exchange Center of Zhejiang and Alibaba for carrying out guarantee insurance for private bonds. The innovative product provided financing guarantee of more than RMB 400 million Yuan for SMEs through its low-cost and transparent financing platform, helping them to get loans cheaper and faster.

### China Continent Insurance Underwriting Liability Insurance for Blood Stations

In February 2014, Chongqing Branch of China Continent Insurance underwrote liability insurance for Chongqing blood station center, providing liability protection for the safe use of 300,000 bags of blood per year, mitigating the risk of disease and infection caused by blood transfusion. This product helped the blood stations to manage their blood more carefully and thus ensured public health security.

## Service Innovation

In 2014, the insurance industry continued its innovation in services. Through mobile and internet technologies they raised the efficiency of underwriting, survey, loss adjustment and claims settlement. Customers were happy.

### Guangdong Province: Better Service for Microfinance Guarantee Insurance

A SME Loan Guarantee Insurance Service Center in Jiangmen, Guangdong province was established in 2014. The service center was administrated by Insurance Association of Jiangmen and run by insurance companies with assistance from banks. It helped SMEs to get no-mortgage loans. The borrowing cost was made up of insurance premium and bank loan interest. It took only about 5 working days after the guarantee insurance policies were issued before the SMEs got the loans. The center was an initiative of insurance industry supporting the development of SMEs and serving local economic transformation and upgrading. It was a good example of what insurance industry could do for the SMEs with support from the government. The SMEs were very happy.

### China Life's *Emergency Response Measures for Major Disasters*

To settle cases efficiently after major disasters hit, China Life worked out *Emergency Response Measures for Major Disasters*, which gave contingency plans, claims settlement standards, information disclosure procedures etc., based on the severity of the disaster. In the 19 major disasters including the missing Malaysia Airline MH370, earthquake in Yunnan Ludian, explosion in Jiangsu Kunshan and major auto accident in Tibet Nimu, China Life responded quickly and was widely praised by its customers.

### Huatai Life Insurance Launched Telephone Service for Maturity Payment

In 2014, Huatai Life Insurance Company launched a telephone service for fast and convenient maturity payment. At the end of 2014, in the Shanghai branch which initiated the program, the percentage of telephone processing accounted for 57% of all maturity payment.

### Tianan Property Insurance Launched An "Auto EasyPay" Mobile Video Survey System

Tianan Property Insurance launched an "Auto EasyPay" mobile video survey system in 2014 to connect customers, realizing real time video survey and synchronizing all the claiming processes including survey, adjustment, quotation, evaluation, checking and payment. The fastest record for the whole procedure was 16 minutes, much faster than before and more convenient for the customers.

## Management Innovation

In 2014, insurance institutions continued improving their management mechanisms to raise operation efficiency, reduce cost and have stronger core competitiveness.

### Fujian Policyholder Recording System Come into Running

In 2014, Fujian policyholder recording system came into running. The system could be downloaded into smart phones. Sales persons took photos of policy-holder signatures and their transcripts of risk warnings and then uploaded theses photos to a special platform. The system filled the gap of image collection in insurance sales, helped to improve the authenticity of insurance sales, contain practices such false signatures and transcriptions, laying a foundation for the use of big data.

### Yantai Sub-bureau: Pay the Commission after Follow-up Call

In 2014, Yantai sub-bureau ruled that life insurers should not pay commissions for policies with duration of more than 1 year to party-time bank or postal agencies before making sure the customers expressed satisfaction in the follow-up calls. The purpose was to address problems as poor customer authenticity and low follow-up call rate, which were effectively relieved after the implementation of the rule. Consumer interest was better protected.

### Changjiang P&C Insurance Used Procedure Manuals

Changjiang P&C Insurance used procedure manuals to better manage its business, control costs and risks. These are standardized and system procedures concerning reinsurance, compliance and legal affairs, inspection and auditing and customer service. These manuals achieved direct economic benefits of RMB 23.03 million Yuan for the company and significantly improved service efficiency, maintained compliance, and fostered a harmonious enterprise culture.

## Institution and System Innovation

In 2014, the insurance industry sped up transformation of development pattern by strengthening operation management and business development through a series of comprehensive and deep reforms.

### Beijing Implemented Differentiated Qualification Regulation on Insurance Sales Persons

In 2014, Beijing established differentiated qualification regulation on the sales persons, setting up different qualification standards for people selling participating products and universal insurance products, and for those selling unit-linked and variable annuities products. The sales persons of all life insurance companies and all full-time agencies selling life products in Beijing had to hold "Insurance Sales Qualification Certificate" and also pass relevant test. This rule will be formally implemented as of July 1st 2015. This rule will ensure that the sales persons are qualified people and will reduce misleading practices.

### Taiping Life Open FTE Account for Cross-border Insurance Business

On August 21, 2014, Taiping Life Shanghai Free Trade Area branch opened a free trade account (FTE account), facilitating foreign currency denominated policy sales in China and RMB Yuan denominated policy sales in overseas market. Using the FTE account as a channel, Taiping conducted reinsurance ceding in and out and investment, to realize the two-way cross-border flowing of premiums in foreign and domestic currencies and maximize asset allocation efficiency.

### Ping An Life Insurance Launched A Customer Manager System

In 2014, Ping An Life implemented an innovative system of customer manager, breaking the walls among internet selling, telephone selling and mobile selling, which greatly improved retention of customer managers and customer loyalty. Monthly fall-out rate of customer managers was 30% better than sales persons who are not customer managers.

## Technology Innovation

In 2014, the insurance industry used internet-based big data, cloud computing, mobile communication to better analyze risk data and other related data and support innovation and development of the industry.

### Auto Insurance Information Platform Realized Centralized Administration on National Level

In May of 2014, Chinese Insurance Information Technology Company (CIITC), successfully integrated regional auto insurance platforms to realize centralized administration on national level of the auto insurance information platform. It eliminated barriers to data sharing among different platforms before, realized the national wide auto insurance data collection and sharing. In the future, it would play an important role in pricing, tax collection, subrogation, and antifraud after system reconstruction and upgrading.

### Jiangsu Became the First to Establish Information Sharing and Coordination Mechanism of Transportation and Insurance

In December 2014, Jiangsu Bureau and the provincial Public Security Department signed a strategic cooperation agreement on the establishment of an information sharing system that connects transportation management and insurance services to share data concerning motor vehicles, drivers, breaches of traffic rules, traffic accidents and basic auto insurance information. Through information sharing, the insurance industry had enhanced its risk identification and management.

### CPIC Set up Mobile Application Laboratory

In June 2014, CPIC set up a mobile application laboratory. As an open mobile application R&D base and designed for new technology collection, tracking, research and development, incubation and test, this laboratory will become a place to experience the use of mobile applications in insurance and a place to promote the insurer's brand.

### Anhua Agricultural Insurance Company Developed Implantable Electronic Tag Syringes

In 2014, Anhua Agricultural Insurance Company successfully developed the third generation of implantable electronic tag syringes, which can inject electronic tag with information such as about the underwriter, the insured time, and the I.D code into the pig's body so as to better identify the insured target. Death cause would also be written into the electronic tag and implanted in dead pigs so that they won't be sold in the market.

### China Coal Insurance Company Drew and Issued Risk Map of Chinese Coal Mines

In October 2014, China Coal Insurance Company issued *Risk Map of Chinese Coal Mines*, which comprehensively assessed the safety conditions of all the coal mines national wide. The *Map* selected 5 indicators including gas levels, hydro-geological types, coal dust proneness to explosion, spontaneous combustion tendency of coal seam and pressure bumping, and took AHP method to establish the evaluation model. It rated the safety conditions by A, B, C and D. On the basis of safety assessment, in combination with the national coal mine safety quality standard system, taking into consideration human and non-human factors that could affect safety, a customer risk rating system was established so as to design underwriting schemes according to customer's risk rating, and providing targeted value-added services for coal enterprises such as risk prevention and disaster compensation.

Photos by staff of the insurance industry

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# 07

# Insurance Consumer Interest Protection and Consumer Education

- Top-level Design of the Insurance Consumer Interest Protection System
- Quick Dispute Resolution
- Addressing Insurance Consumers' Top Concerns
- Information Disclosure Related to Insurance Customers Stepped Up
- Consumer Education

## Top-level Design of the Insurance Consumer Interest Protection System

In 2014, CIRC issued *Opinions of CIRC on Strengthening Insurance Consumer Interest Protection.* Reflecting the principles of IAIS on consumer protection and international experience and based on the actual situation of insurance consumer interest protection in China, this document clarified the guiding concept, basic principles and work objectives of insurance consumer interest protection, and raised the main tasks, direction as well as supporting measures. CIRC and NDRC jointly formulated *Construction Plan of China's Insurance Industry Credit System (2015-2020).* Based on the realities of China, this plan defined the goals and tasks of the insurance credit system construction in the next 5 years. It was China's first industry credit system construction plan, and also the guideline for the insurance industry in their fight to win confidence of consumers and society.

## Quick Dispute Resolution

In 2014, CIRC strengthened the construction of 12378 insurance consumer complaints hotline, established 22 new hotline sub-centers in local bureaus, realizing full coverage of 12378 service network in all the bureaus. Through this hotline, local complaints can be dealt with locally and more quickly. By the end of 2014, the hotline received over 245,000 in-coming calls and achieved 98.5% of satisfaction.

In 2014, CIRC and its local bureaus received and processed 28,000 complaints. The number of disputes mediation organizations increased to 479 and more court suits were diverted to these institutions for mediation. Nearly 24,000 disputes were successfully settled in 2014. Closer cooperation with the Supreme People's Court to encourage disputes be settled at professional organization rather than in court proved to be productive. 139 cities with districts across the country now has this mechanism in place.

## Addressing Insurance Consumers' Top Concerns

Firstly, CIRC continued to address reluctant payment of insurers. The result is that P&C insurers' average processing time (from reporting to finishing payment) for auto insurance claims with value amount below RMB 10 thousand Yuan was shortened from 90.4 days in 2012 to 21.2 days in 2014. Urged by CIRC to process their pending cases, P&C insurers cleared up 7.35 million pending property insurance claims, or 69.62% of all, paying RMB 95.1 billion Yuan for them in 2014. Secondly, the problem of misleading sales practices was tackled. Customers' information authenticity was strengthened and insurers were required to implement stricter supervision for misleading selling behaviors. CIRC also organized a specific taskforce to organize insurers to clear up their lapsed life insurance policies. 5.78 million lapsed life insurance policies that had been lapsed for no more than 2 years were cleared, involving cash value of RMB 22.94 billion Yuan with a clearing rate of more

than 90%.Thirdly, CIRC reinforced investigation on activities harmful to consumers' benefits. CIRC conducted targeted inspections on insurers who the consumers complained a lot about to address the top concerns of the consumers. In 2014, CIRC local bureaus carried out 4601 on-site inspections, punished 156 institutions and 101 executives, gave fine tickets amounting to RMB 14.013 million Yuan, and conducted regulatory talks 348 times for consumer interest issues.

## Information Disclosure Related to Insurance Customers Stepped Up

Firstly, CIRC released its regulatory administrative information concerning in accordance with the government's information disclosure requirements, including all insurance regulatory policies and regulations, administrative licensing results, administrative punishments, work in process and statistics and data through its official website. Secondly, CIRC regularly published information related to the interests of insurance consumers. CIRC released complaints data and key problems of insurers every quarter, publicized assessment of insurers' consumer complaints handling, clearing results of pending cases in P&C insurers and results of customer satisfaction survey for life insurers every year. In 2014, CIRC expanded information disclosure and disclosed to the public 5 typical cases of insurance consumers interest infringement. Thirdly, CIRC released risk warnings about the top complaints and the key concerns of insurance consumers regularly and irregularly through newspaper and internet to let the public be aware of the risks. In 2014, CIRC released 6500 insurance consumption risk warnings.

## Consumer Education

Firstly, CIRC composed and published the first book series about insurance knowledge called "Xiao Bao Getting to Know Insurance", prefaced by CIRC Chairman Xiang Junbo and chief-editored by assistant Chairman Liang Tao. This book series were added into the purchase list of rural libraries by State Administration of Press, Publication, Radio, Film and Television. Secondly, CIRC used mobile platforms for insurance consumer education. Since the introduction of the official education WeChat account "regulator's classroom", for only 3 months subscribers had accumulated to over 7,000 at the end of 2014. Thirdly, CIRC created an education column in *Chinese Consumers News*, publishing 31 articles, which were also posted on www.ccn.com.cn. Fourthly, CIRC carried out insurance public education activities. On the "3·15" International Consumer Day and "7·8" National Insurance Day, nationwide publicity and education activities were organized including publishing articles, setting display boards, distributing pamphlets so as to let more people know about the functions, history and culture of insurance, and to promote rational consumption of insurance products.

### Jiangxi Bureau Used "4 Third Parties" to Promote Consumer Interest Protection

Jiangxi Bureau used "4 third parties" to promote consumer interest protection: a third party review system of life insurance products, a third party assessment mechanism of auto insurance service quality, a third party mediation mechanism on insurance contract disputes and a third party testing center.

### Mechanisms to Resolve Insurance Contract Lawsuits Through Mediation Covered Seen Everywhere in Henan

By setting up mediation rooms in courts, mediation centers or "insurance social courts" participated by mediation organizations and courts, the local insurance association of Henan Province created mechanisms to resolve insurance contract lawsuits through mediation in the 18 cities of Henan, resolving 1,885 disputes in this way in 2014.

Photos by staff of the insurance industry

# 08

# Outlook of the Chinese Insurance Market in 2015

- A Promising External Environment
- A Promising Year for the Industry
- Another Year of Advancement for Insurance Regulation

## A Promising External Environment

Experiencing profound changes in economic structure, development driving forces and market mechanism, against the backdrop of a shifting international environment, China's macro economy is now in a new stage of development. In this new situation of the economy, the CPC Central Committee and the State Council made visionary decisions to deepen reform, streamline administration and delegate power to the lower levels. Meanwhile, series of innovative developing strategies including One Belt One Road and new urbanization are implemented to facilitate the transformation and upgrading of economic and industrial structure. This gives many opportunities for the insurance industry to further expand its services, improve its service quality and play a bigger role in social management.

## A Promising Year for the Industry

As the development policy of the insurance sector gradually shows its effect, and the Party's Central Committee and State Council are seeking to improve the governance of the country and modernize its governance capability, as people become more and more aware of risks and insurance, the insurance industry enjoys a favorable environment for further development. The issuance of the *Opinions* demonstrates that it is now the government's will to developing insurance. The role of insurance has been uplifted to the national governance level, which implies insurance will become one of people's living necessities. For this underinsured country with large population and GDP, the next 5 to 10 years will be a golden period for the development of insurance industry. We are fully entitled to believe that the insurance industry will maintain the momentum of steady, rapid and profitable growth and deliver more benefits to the society in 2015.

## Another Year of Advancement for Insurance Regulation

In 2015, fully implementing the principles of the Party's 18th Congress and its third and fourth plenary sessions, the Central Economic Working Conference, and the series of important speeches of Party General Secretary Xi Jinping, CIRC will seek progress while maintaining stability, adapt to the economic "new normal" and implement the *Opinions* in detail. It will continue to focus on better services, strict supervision, risk prevention and development, advance the transformation and upgrading of the insurance industry for better development quality and efficiency so as to foster a market that is not only big but also strong. This will be anchored on reform and innovation, implementation of policies, risk prevention and consumer protection.

# 09 Appendices


- Appendix 1 Important Regulatory Trends of China's Insurance Market in 2014
- Appendix 2 Main Insurance Indicators of China during 2004—2014

# Appendix 1 Important Regulatory Trends of China's Insurance Market in 2014

On January 8, the CIRC and the China Banking Regulatory Commission jointly released the *Notice on Further Strengthening Regulation on Commercial Banks Selling Insurance*, effective as of April 1, 2014. The *Notice* further strengthens the regulation of Bancassurance requirements on target buyers and product structure.

On January 15, Chinese Insurance Information Technology Co., Ltd. was founded to provide IT support and service to Chinese insurance market and regulation.

On January 21, the 2014 National Insurance Regulatory Conference was held in Beijing. Mr. Xiang Junbo, Secretary of the CPC committee, Chairman of the CIRC attended the conference and gave the keynote speech.

On February 19, the CIRC released the *Notice on Strengthening and Improving Percentage Regulation of Insurance Asset Management,* in order to establish a multi-layered, differentiated and dynamic proportion regulation system based on asset classification.

On February 21, the 9th Sino-US Insurance Dialogue and the Sino-US Insurance Regulation Seminar between the CIRC, the Office of the United States Trade Representative and NAIC were held in Fuzhou.

On February 28, the CIRC released the *Notice on Regulation of Bank Deposits of Insurance Assets*, to strengthen the review of qualification of the counterparty, set up a custody mechanism, supervise the pledge of deposit, and enhance reporting requirement.

On March 8, the CIRC released *Emergency Notice on Dealing with the Missing MH 370 Flight*, to urge the insurance industry to react to the accident properly.

On March 21, the CIRC released the *Administrative Measures on Merger and Acquisition of Insurance Companies*, to moderately ease the criteria of fund source and shareholder qualification, allow insurance companies to purchase another insurance company, and provide for stricter information disclosure, acquisition transition period and punishment to violation.

On March 25, the CIRC released *Guidance on Insurance Industry Serving the Development of New Urbanization*, which set six key measures to support new urbanization, such as exploring roles of insurance industry in the new urbanization development, gradually turning insurance industry to an important pillar of the multi-layered urban-rural social security system, an important financing channel of urbanization, and an important tool to improve society management and public service, and an effective way to deal with catastrophes.

On April 2, the CIRC released *Notice on Authorizing CIRC Beijing Bureau and Other Bureaus to Regulate Insurance Asset Management*, to delegate certain regulatory power over insurance fund management to six CIRC Bureaus in order to set up a multi-layered insurance fund management regulatory system.

On April 24, the PBC, CBRC, CSRC, CIRC and SAFE jointly released *Notice on Regulation of Inter-finance Business*, which raised 18 requirements in the operation of inter-finance business, internal and external management, and innovation of asset-liability business, to push forward adjustment and transformation of economic structure.

On May 15, the General Office of the CIRC released *Notice on Further Simplifying Administrative Examination and Approval Procedure to Support China (Shanghai) Free Trade Zone*, allowing a pilot project of institute clause for marine insurance, canceling approval requirement for some insurance companies in setting branches and appointing senior executives.

On June 17, the CIRC released *Guidance on Pilot Reversed Mortgage Pension Insurance*, to encourage insurance industry to actively participate in aging-care service and explore new ways in improving old-age protection system.

On July 5, Beijing Insurance Research Institute was founded, to conduct research on strategic issues of the Chinese insurance market and social economy and major policy measures of insurance regulation, striving to become an insurance intellectual platform and talent base.

On July 8, the 2014 National Insurance Publicity Day was held in Beijing, in which the first issue of *White Paper on Social Responsibility of China's Insurance Industry* was released. Mr. Xiang Junbo, Chairman of the CIRC, and Mr. Li Yang, Vice President of the Chinese Academy of Social Sciences, attended the activity and gave speeches.

From July 17 to 18, the ninth Asian Forum of Insurance Regulators (AFIR) was held in Beijing. Mr. Xiang Junbo, Chairman of the CIRC was elected Chairman of AFIR.

On July 28, the CIRC and Zhejiang Province Government jointly released *Notice on Establishing Insurance Innovation and Show Case Zone in Ningbo City Zhejiang Province*, to explore sustainable insurance reform and innovation that can be copied and promoted.

On August 10, the State Council released *Opinions on Accelerating the Development of Modern Insurance Service Industry*. As a blue print for the insurance industry in a certain period to come, it gave insurance industry a critical role in the strategic plan of social economic development, set the strategic development targets, and set out a plan to expand insurance services, provide more supportive policies and deepening reform and opening up.

On September 4, the founding conference and first representative meeting of the Insurance Asset Management Association of China was held in Beijing. Mr.Xiang Junbo, Chairman of the CIRC attended the meeting and gave a speech.

On September 28, the CIRC released *Interim Measures on Regulation of Non-insurance Subsidiaries of Insurance Companies*, to enhance risk monitoring and prevent risk transfer with indirect regulation, in order to protect insurance consumers' interest and promote the sound development of the insurance industry.

On October 17, the CIRC released *Notice on Insurance Fund Investing in Preferred Stocks*, to further broaden investment channel of insurance funds, optimize asset allocation, and prevent investment risks.

On October 17, the CIRC released *Guidance on Insurance Asset Classification,* to guide insurance companies to strengthen asset risk management and improve the efficiency and quality of asset management.

On November 13, the CIRC released *Solvency Reporting Standard No. X: Solvency Report (for consultation)*, to solicited public opinions. All the 17 rules of C-ROSS technical standards were for public consultation.

On November 14, the CIRC released *Opinions on Strengthening the Protection of Insurance Consumers' Interests*. It was the first policy document issued by a financial regulator to set comprehensive and detailed guidance on consumer protection for the whole industry.

On November 17, the State Council released *Opinions on Accelerating the Development of Commercial Health Insurance*. For the first time, the central government defined the role of commercial health insurance in deepening medical and health care system reform, developing health care industry and promoting the transform and upgrade of economy. It was the first document dedicated to the development of commercial health insurance.

On November 21, the founding conference of China Agriculture Insurance Reinsurance Pool was held in Beijing. The Pool was founded by 23 insurers licensed to conduct agriculture insurance and one reinsurer, to pool resources and improve the risk management of agriculture insurance.

On December 2, the CIRC and Guangxi Zhuang Autonomous Region Government signed an MOU in Nanning, to conduct deep cooperation in creating good environment for insurance industry development, improving insurance market system and increasing insurance fund investment. By then, the CIRC had signed MOU with 18 provinces (autonomous regions or municipal cities) and municipalities with independent planning status.

On December 4, the CIRC released *Guidance on Consolidated Regulation of Insurance Groups*, to monitor risks from group wide perspective and prevent financial risk transfer.

On December 12, the CIRC released *Notice on Insurance Fund Investing in Venture Capital Fund*, to regulate insurance fund investing in venture capital fund, support the sound development of start-ups and micro enterprises, and prevent investment risks.

On December 15, the CIRC released *Notice on Carrying out Inspection in Insurance Companies on "Two Strengthens, Two Curbs"*, to identify the outstanding problems and risks in insurance company's governance through the inspection, solve the problems accordingly, and establish a long-term mechanism in preventing and solving risks.

On December 18, the CIRC, Office of the Commissioner of Insurance of Hong Kong and Monetary Authority of Macao signed the cooperation agreement in Macao to fight against insurance fraud together.

On December 26, the second meeting of the Cross-Strait Insurance Regulatory Cooperation Mechanism was held in Beijing. Based on previous agreement, this meeting further discussed deepening cross-strait insurance regulatory cooperation.

On December 30, the CIRC released *Guidance for Insurance Institutes on Risk Assessment and Client Classification of Money Laundering and Terrorist Financing*, to guide insurance institutes in assessing risks of money laundering and terrorist financing, set appropriate money laundering risk levels of client, and improve the efficiency of anti-money laundering and anti-terrorist financing.

Photos by staff of the insurance industry

# Appendix 2 Main Insurance Indicators of China during 2004—2014

## Table 1 Distribution of Premium Income, 2004—2014[①]

| Year | Insurance Premium | | Life Insurance | | Non-life Insurance | |
|---|---|---|---|---|---|---|
| | Total Amount (RMB 100 million) | Growth Rate (%) | Total Amount (RMB 100 million) | Growth Rate (%) | Total Amount (RMB 100 million) | Growth Rate (%) |
| 2004 | 4,323.0 | 12.3 | 3,198.2 | 7.20 | 1,124.8 | 30.0 |
| 2005 | 4,928.4 | 14.0 | 3,644.9 | 14.00 | 1,283.1 | 14.1 |
| 2006 | 5,640.2 | 14.4 | 4,059.1 | 11.3 | 1,581.1 | 23.2 |
| 2007 | 7,033.4 | 25.0 | 4,946.5 | 21.9 | 2,086.6 | 32.0 |
| 2008 | 9,789.1 | 39.2 | 7,342.6 | 48.5 | 2,446.2 | 17.3 |
| 2009 | 11,137.3 | 13.8 | 8,144.2 | 11.0 | 2,992.9 | 22.4 |
| 2010 | 14,528.0 | 30.4 | 10,500.9 | 28.9 | 4,026.9 | 34.6 |
| 2011 | 14,341.0 | 10.5 | 9,560.0 | 6.9 | 4,780.9 | 18.7 |
| 2012 | 15,485.5 | 8.0 | 9,955.4 | 4.1 | 5,530.1 | 15.7 |
| 2013 | 17,217.9 | 11.2 | 10,736.5 | 7.9 | 6,481.2 | 17.2 |
| 2014 | 20,233.6 | 17.5 | 12,687.3 | 18.2 | 7,546.1 | 16.4 |

## Table 2 Insurance Penetration and Insurance Density, 2004—2014[②]

| Year | Insurance penetration (%) | Insurance density (RMB per person) |
|---|---|---|
| 2004 | 3.39 | 332.2 |
| 2005 | 2.70 | 375.6 |
| 2006 | 2.80 | 431.3 |
| 2007 | 2.93 | 532.4 |
| 2008 | 3.25 | 736.7 |
| 2009 | 3.32 | 834.4 |
| 2010 | 3.65 | 1,083.4 |
| 2011 | 3.04 | 1,064.4 |
| 2012 | 2.98 | 1,143.7 |
| 2013 | 3.03 | 1,265.4 |
| 2014 | 3.18 | 1,479.3 |

## Table 3 Insurance Fund Investment Return, 2004—2014

| Year | Investment Return (%) |
|---|---|
| 2004 | 2.87 |
| 2005 | 3.60 |
| 2006 | 5.80 |
| 2007 | 12.17 |
| 2008 | 1.91 |
| 2009 | 6.41 |
| 2010 | 4.85 |
| 2011 | 3.57 |
| 2012 | 3.39 |
| 2013 | 5.04 |
| 2014[①] | 6.30 |

① The premium income from 2004 to 2010 was statistical data prior to the implementation of *Interpretation No. 2 of the Accounting Standards for Business Enterprises*.

② The insurance penetration and the insurance density from 2004 to 2010 are calculated according to the data prior to the implementation of *Interpretation No.2 of the Accounting Standards for Business Enterprises.*

③ Data are taken from the website of the National Bureau of Statistics, where 2014 GDP RMB 63.6463 trillion Yuan, total population as of end 2014 at 1.36782 billion.

## Table 4 Distribution of Premium Income by Region, 2014

| Region | Direct Insurance Premium Income | | | Property & Casualty Insurance | | | Personal Insurance | | |
|---|---|---|---|---|---|---|---|---|---|
| | Accumulative (RMB100 million) | YoY Growth (%) | Proportion (%) | Accumulative (RMB100 million) | YoY Growth (%) | Proportion (%) | Accumulative (RMB100 million) | YoY Growth (%) | Proportion (%) |
| **National Total** | 20,233.6 | 17.5 | 100.0 | 7,203.5 | 16.0 | 100.0 | 13,030.1 | 18.4 | 100.0 |
| **1. Independent Business Income of Headquarters** | 96.8 | 13.6 | 0.5 | 94.6 | 13.5 | 1.3 | 2.2 | 6.5 | 0.0 |
| **2. East Region** | 11,709.0 | 17.8 | 57.9 | 4,139.6 | 15.4 | 57.5 | 7,569.4 | 19.2 | 58.1 |
| Beijing | 1,207.3 | 21.3 | 6.0 | 314.8 | 9.3 | 4.4 | 892.5 | 26.2 | 6.9 |
| Tianjin | 317.7 | 14.8 | 1.6 | 108.9 | 6.5 | 1.5 | 208.9 | 19.7 | 1.6 |
| Hebei | 931.9 | 11.2 | 4.6 | 356.7 | 15.2 | 5.0 | 575.2 | 8.9 | 4.4 |
| Liaoning | 558.0 | 25 | 2.8 | 187.4 | 13.3 | 2.6 | 370.6 | 32.0 | 2.8 |
| Dalian | 199.3 | 13.2 | 1.0 | 71.9 | 13.0 | 1.0 | 127.4 | 13.4 | 1.0 |
| Shanghai | 986.8 | 20.1 | 4.9 | 320.4 | 12.3 | 4.5 | 666.4 | 24.3 | 5.1 |
| Jiangsu | 1,683.8 | 16.4 | 8.3 | 606.3 | 16.9 | 8.4 | 1,077.5 | 16.2 | 8.3 |
| Zhejiang | 1,051.1 | 13.8 | 5.2 | 472.9 | 13.9 | 6.6 | 578.2 | 13.7 | 4.4 |
| Ningbo | 207.0 | 11.6 | 1.0 | 111.6 | 15.2 | 1.6 | 95.4 | 7.6 | 0.7 |
| Fujian | 554.7 | 19.8 | 2.7 | 182.2 | 15.9 | 2.5 | 372.5 | 21.8 | 2.9 |
| Xiamen | 131.2 | 17.4 | 0.7 | 57.1 | 18.6 | 0.8 | 74.1 | 16.5 | 0.6 |
| Shandong | 1,250.3 | 13.5 | 6.2 | 426.5 | 15.1 | 5.9 | 823.8 | 12.7 | 6.3 |
| Qingdao | 203.1 | 13.6 | 1.0 | 88.1 | 17.3 | 1.2 | 115.0 | 10.9 | 0.9 |
| Guangdong | 1,792.8 | 25.0 | 8.9 | 590.1 | 21.1 | 8.2 | 1,202.7 | 27.0 | 9.2 |
| Shenzhen | 548.7 | 17.1 | 2.7 | 207.0 | 19.8 | 2.9 | 341.7 | 15.5 | 2.6 |
| Hainan | 85.1 | 17.3 | 0.4 | 37.8 | 19.3 | 0.5 | 47.3 | 15.7 | 0.4 |
| **3. Middle Region** | 4,598.9 | 18.7 | 22.7 | 1,460.1 | 16.5 | 20.3 | 3,138.8 | 19.8 | 24.1 |
| Shanxi | 465.4 | 12.9 | 2.3 | 156.0 | 7.9 | 2.2 | 309.3 | 15.5 | 2.4 |
| Jilin | 330.0 | 25.1 | 1.6 | 107.7 | 18.2 | 1.5 | 222.3 | 28.8 | 1.7 |
| Heilongjiang | 507.1 | 31.9 | 2.5 | 122.0 | 7.4 | 1.7 | 385.1 | 42.3 | 3.0 |
| Anhui | 572.5 | 18.6 | 2.8 | 241.4 | 18.5 | 3.4 | 331.0 | 18.6 | 2.5 |
| Jiangxi | 400.2 | 25.9 | 2.0 | 138.7 | 19.4 | 1.9 | 261.5 | 29.7 | 2.0 |
| Henan | 1,035.6 | 13.0 | 5.1 | 278.4 | 16.6 | 3.9 | 757.2 | 11.8 | 5.8 |
| Hubei | 700.1 | 19.2 | 3.5 | 204.6 | 20.8 | 2.8 | 495.5 | 18.5 | 3.8 |
| Hunan | 588.0 | 15.7 | 2.9 | 211.3 | 20.0 | 2.9 | 376.8 | 13.4 | 2.9 |
| **4. West Region** | 3,828.9 | 15.4 | 18.9 | 1,509.2 | 17.2 | 21.0 | 2,319.7 | 14.2 | 17.8 |
| Chongqing | 407.0 | 13.7 | 2.0 | 138.9 | 23.4 | 1.9 | 268.1 | 9.2 | 2.1 |
| Sichuan | 1,060.8 | 16.0 | 5.2 | 371.8 | 18.0 | 5.2 | 689.0 | 14.9 | 5.3 |
| Guizhou | 212.2 | 16.8 | 1.1 | 112.4 | 26.3 | 1.6 | 99.8 | 7.7 | 0.8 |
| Yunnan | 376.1 | 17.3 | 1.9 | 177.3 | 16.8 | 2.5 | 198.8 | 17.7 | 1.5 |
| Tibet | 12.8 | 11.6 | 0.1 | 9.0 | 13.2 | 0.1 | 3.7 | 7.9 | 0.0 |
| Shaanxi | 476.9 | 14.3 | 2.4 | 160.0 | 16.7 | 2.2 | 316.9 | 13.1 | 2.4 |
| Gansu | 208.4 | 15.7 | 1.0 | 80.0 | 17.1 | 1.1 | 128.4 | 14.9 | 1.0 |
| Qinghai | 46.0 | 17.9 | 0.2 | 23.0 | 17.9 | 0.3 | 23.0 | 18.0 | 0.2 |
| Ningxia | 83.9 | 15.4 | 0.4 | 36.4 | 15.8 | 0.5 | 47.5 | 15.1 | 0.4 |
| Xinjiang | 317.4 | 16.1 | 1.6 | 131.6 | 16.3 | 1.8 | 185.8 | 15.9 | 1.4 |
| Inner Mongolia | 314.0 | 14.3 | 1.6 | 138.3 | 6.6 | 1.9 | 175.8 | 21.3 | 1.4 |
| Guangxi | 313.3 | 13.7 | 1.6 | 130.6 | 16.5 | 1.8 | 182.7 | 11.9 | 1.4 |

## Table 5 2014 Balance Sheet of China's Insurance Industry

Unit: RMB100 million

| Assets | Beginning of the year | End of the year | Total Equity and Liabilities | Opening Balance | Ending Balance |
|---|---|---|---|---|---|
| **Assets:** | | | **Liabilities:** | | |
| Cash | 2,641.0 | 3,453.4 | Short-term borrowings | 55.5 | 100.0 |
| Lending funds | 0.7 | 0.7 | Guarantee deposits received | 82.4 | 546.9 |
| Financial assets at fair value through income | 1,634.0 | 2,142.3 | Borrowing funds | 25.0 | 0.0 |
| Derivative financial assets | 0.3 | 0.2 | Financial liabilities at fair value through income | 0.7 | 100.9 |
| Financial assets purchased under agreement to resell | 838.2 | 754.9 | Derivative financial liabilities | 0.1 | 0.7 |
| Interest receivable | 1,224.7 | 1,521.7 | Assets sold under agreements torepurchase | 3,650.5 | 4,271.4 |
| Premium receivable | 580.0 | 723.6 | Brokerageand commission expensespayable | 176.5 | 225.6 |
| Assets management fee receivable | 12.1 | 18.0 | Commission expenses payable for pension | 0.0 | 0.0 |
| Pension management fee receivable | 3.3 | 6.6 | Premiums received in advance | 492.7 | 827.9 |
| Subrogation receivable | 41.5 | 40.8 | Salaries and employees' welfare payable | 325.9 | 466.7 |
| Reinsurance receivable | 764.3 | 681.9 | Taxes payable | 139.9 | 268.2 |
| Reinsurance unearned premium reserve receivable | 393.0 | 357.7 | Insurance Security Fund | 29.4 | 34.3 |
| Reinsurance outstanding claims reserve receivable | 562.8 | 613.4 | Claims payable | 951.9 | 1,149.6 |
| Reinsurance life reserves receivable | 347.0 | 1,320.3 | Other payables | 487.0 | 714.7 |
| Reinsurance long-term health reserves receivable | 94.7 | 103.5 | Policyholder dividend payable | 1,268.2 | 1,647.8 |
| Policy loans | 1,335.1 | 1,800.9 | Reinsurance payable | 910.4 | 1,430.9 |
| Loans | 5,526.5 | 9,297.7 | Unearned premium reserves | 3,325.5 | 3,793.9 |
| Guarantee deposits | 230.0 | 827.6 | Outstanding claims' reserves | 3,035.3 | 3,537.3 |
| Term deposits | 18,823.0 | 20,201.0 | Including: IBNR | 764.2 | 993.6 |
| Available-for-sale financial assets | 17,889.7 | 23,120.2 | Life insurance reserves | 44,428.1 | 50,501.4 |
| Hold-to-maturity investment | 21,203.4 | 22,339.9 | Long-term health insurance reserves | 1,869.9 | 2,235.7 |
| Long-term equity investments | 3,989.8 | 6,034.0 | Policyholders' deposits | 9,591.5 | 12,237.0 |
| Statutory deposit | 926.1 | 1,111.2 | Long-term borrowings | 52.2 | 20.7 |
| Investment properties | 732.4 | 824.4 | Bonds payable | 2,301.8 | 2,391.0 |
| Fixed assets | 769.1 | 811.1 | Fund of satellite insurance | 1.8 | 1.8 |
| Intangible assets | 272.4 | 298.7 | Independent account liabilities | 823.3 | 1,096.4 |
| Independent account assets | 823.3 | 1,097.6 | Deferred income tax liabilities | 119.2 | 399.9 |
| Deferred income tax assets | 212.0 | 89.2 | Current accounts within group (Credit) | 54.6 | 86.9 |

Continued

| Assets | Beginning of the year | End of the year | Total Equity and Liabilities | Opening Balance | Ending Balance |
|---|---|---|---|---|---|
| Current accounts within group (Debit) | 61.8 | 80.3 | Internal current accounts (Credit) | 65.2 | 88.2 |
| Internal current accounts (Debit) | 64.4 | 85.9 | Other liabilities | 186.5 | 298.4 |
| Other assets | 1,042.2 | 1,805.9 | Total liabilities | 74,450.9 | 88,474.8 |
| | | | Owners' Equity: | | |
| | | | Paid-in capital | 3,721.0 | 4,308.0 |
| | | | Capital reserves | 2,313.0 | 4,406.4 |
| | | | Less: Treasury share | 0.0 | 0.0 |
| | | | Surplus reserves | 174.1 | 240.6 |
| | | | Generic Risk Reserve | 81.0 | 514.6 |
| | | | Retained earnings | 1,333.1 | 2,293.6 |
| | | | Foreign translation gain or loss | (0.8) | 0.2 |
| | | | Minority equity | 966.7 | 1,326.2 |
| | | | Total Owners' Equity | 8,588.0 | 13,089.6 |
| Total Assets | 83,038.9 | 101,564.4 | Total Liabilities and Owners' Equity | 83,038.9 | 101,564.4 |